



Coles – supermarket and liquor site in Kalgoorlie, WA

MN-01068

Phase 2 Determination

Acquisition must not be put into effect

Statement of Reasons

30 June 2026

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1. Summary

- 1.1. Kalgoorlie-Boulder is a city of around 30,000 people located in the Goldfields area of Western Australia, about 600 kilometres east of Perth. Its economy is centred around the mining industry. Consumers in the city are served by six supermarkets. Four can be described as full-line: Coles and Woolworths have one each and there are the independents Spudshed and O'Connor Fresh IGA. The other two are smaller format supermarkets: Hannans Foodworks and IGA Lionel St.
- 1.2. On 27 November 2025, Coles Supermarkets Australia Pty Ltd (**Coles Supermarkets**) lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of its proposed acquisition of a leasehold interest for a supermarket and liquor site in Kalgoorlie, WA (**the Acquisition**). Coles Supermarkets is a subsidiary of Coles Group Limited (**Coles Group**), an ASX listed company (together, **Coles**).
- 1.3. The Acquisition is Coles' proposal to acquire the lease over land on which it would build a new, second supermarket in Kalgoorlie (with an associated liquor outlet) in the south-western part of the city. Coles, as a 'major supermarket', is required to notify the ACCC of an acquisition of a lease over vacant land over 2,000m², even if the thresholds for notification in the new merger regime are not met.¹
- 1.4. Coles voluntarily notified the ACCC of the Acquisition on 27 November 2025, prior to commencement of the new mandatory, suspensory merger regime. Under the new merger regime, if the ACCC, after conducting a two-phase review, is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market, it may make a determination that the acquisition must not be put into effect.²
- 1.5. Coles' proposed supermarket would be a large-format, full-line supermarket with selling floor area (**SFA**) of approximately 2,800m² (**Proposed Supermarket**). The site is currently vacant and undeveloped, and the Proposed Supermarket would be part of a broader proposed neighbourhood development.
- 1.6. Such investment in new facilities can be expected to contribute to competition in a market. Here, though, as the Minister has determined that leases acquired by major supermarkets must be notified, the ACCC has had to consider whether and how new investment may result in a lessening of competition.
- 1.7. Kalgoorlie is remote. The commissioning of a new large-format supermarket represents a significant increase of supply in the Kalgoorlie market for groceries. The lack of adjacent population centres means that population growth is a key driver of overall grocery demand (leaving aside outside economic factors). As the best estimates of population growth are below 1 per cent, the ACCC considered whether the Acquisition may result in any existing competitors becoming unviable and exiting the market and whether this would substantially lessen competition.
- 1.8. The ACCC came to the view that one competitor is likely to exit the market after the Acquisition and that this would substantially lessen competition because the supermarket likely to exit has a differentiated offering valued by consumers and its

¹ [Competition and Consumer \(Notification of Acquisitions\) Determination 2025](#).

² Act, s 51ABZE(2)(c).

exit would remove a material competitive constraint on Kalgoorlie's large-format supermarkets.

- 1.9. Coles made extensive submissions as to why the ACCC ought not be satisfied that the Acquisition is likely to result in a substantial lessening of competition. Among other things, it submits that demand in Kalgoorlie is sufficient to sustain the Proposed Supermarket without leading to the exit of an effective competitor. It says that any oversupply would be temporary and reflective of the 'lumpy' nature of supermarket investment. Even if a competitor did exit after the Acquisition, this would be the normal functioning of a competitive market. The exit would reflect the relative efficiency or particular financial circumstances of the exiting rival while its underlying business would remain viable.
- 1.10. The ACCC's role within the merger regime, having regard to the objects of the *Competition and Consumer Act 2010* (Cth) (the **Act**), is to promote the interests of consumers by protecting the process of competition and not to protect any particular competitor. But there are situations where the exit of a single competitor can materially affect the state of competition, particularly in small, isolated or concentrated markets.
- 1.11. New entry and exit are a normal part of functioning competitive markets and investment in new supermarket capacity can benefit consumers. In Kalgoorlie, the Acquisition will increase supermarket capacity significantly, at least in the short term, and the Proposed Supermarket would be a high-quality store in a new location. Incumbents would likely respond competitively.
- 1.12. In other areas of competition law, tests directed to identifying when investment may be anti-competitive look at whether a firm is sacrificing profit to gain market power, the investment makes 'no economic sense' without an anti-competitive outcome, or that no 'equally efficient firm' will be forced to exit. However, the ACCC does not consider it is necessary for the acquirer to have a predatory intent or strategy for investment in a market like Kalgoorlie to substantially lessen competition. The Act requires the ACCC to look at likely effects.
- 1.13. The Proposed Supermarket is expected to win significant sales from the existing Kalgoorlie supermarkets. There is a material risk that the loss of those sales will place sufficient financial pressure on an independent competitor that its assets will exit the market.
- 1.14. The likely effect of the Acquisition would thus be to increase concentration, in that one fewer independent supermarket would be present, and remove a competitive constraint on remaining supermarkets. Coles would operate two of the four full-line supermarkets in Kalgoorlie. Its share of SFA and revenue would increase materially, and the combined Coles and Woolworths share of gross lettable area (**GLA**) used for larger supermarkets would increase from its already high level of 62%.
- 1.15. Consumers would likely be worse off over time by losing a differentiated local offer, including local products, longer trading hours, higher-touch customer service, and locally responsive pricing and product ranging. The loss of this independent, differentiated supermarket would reduce (principally) non-price competitive rivalry, reducing the pressure on remaining supermarkets to maintain or improve their product, service and store quality offering.

- 1.16. For these reasons, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in the retail supply of groceries by supermarkets in Kalgoorlie and has determined that the Acquisition must not be put into effect.
- 1.17. The ACCC's satisfaction is based on it having made a single evaluative judgment as to the likely effect of the Acquisition, having regard to the statutory framework, the evidence and submissions before it, the interests of consumers, and the object of the Act.

2. Background

The Acquisition

- 2.1. Coles Supermarkets proposes to acquire a leasehold interest (the **Lease**) over land at Lots 95-106 Great Eastern Highway, in Somerville, WA (the **Property**) for the purpose of opening a supermarket and liquor store. Somerville is a suburb of Kalgoorlie–Boulder (**Kalgoorlie**).

The acquirer – Coles

- 2.2. Coles operates 860 supermarkets nationwide.³ Coles' standard offering entails large-format supermarkets that are either freestanding or located in shopping centres. Its large-format stores typically offer standard grocery items, as well as bakery and deli services. Coles also operates smaller format 'Coles Local' supermarkets with a comparatively smaller range of grocery items.
- 2.3. Coles operates an online grocery shopping and delivery platform named 'Coles Online', which allows consumers to shop for groceries with either home delivery or pick up from 'Click&Collect' locations at existing Coles stores.
- 2.4. Coles also operates three different chains of liquor stores nationally, under the brand names Liquorland, First Choice Liquor Market (soon to be re-branded as Liquorland Warehouse) and Vintage Cellars (soon to be rebranded as Liquorland Cellars), and other subsidiaries.
- 2.5. Coles is one of the two largest full-line supermarket chains in Australia. Coles earned annual revenue of approximately \$40.0b in FY25 from its supermarket operations, at a gross margin of **[Redacted - confidential]**%.⁴ Data provided by Coles shows that Coles Supermarkets earned a return on capital of **[Redacted - confidential]**% in Australia and **[Redacted - confidential]**% in Western Australia.⁵ Further discussion of Coles' profitability, including some challenges of interpreting return on capital data, is set out in Attachment B.

³ Coles Group, [2025 Annual Report](#), p 14.

⁴ Coles Group, [2025 Annual Report](#), p 20.

⁵ **[Redacted - confidential]**.

Leasehold interest in Kalgoorlie

- 2.6. The Property is currently vacant and undeveloped but M Holdings 4 Pty Ltd, owned by M/Group, is proposing to develop a neighbourhood centre there.
- 2.7. In addition to the Proposed Supermarket, M/Group plans to include **[Redacted - confidential]**.⁶ M/Group **[Redacted - confidential]**.⁷
- 2.8. The Proposed Supermarket will be a large format supermarket, with an SFA of 2,800m² and a Liquorland store. Coles submits it expects the store will open around **[Redacted - confidential]**. As the site is currently vacant and does not have development approval, the supermarket is unlikely to open before then.⁸

Overview of grocery retailing in Australia⁹

Supermarket business models

- 2.9. Grocery retailing by supermarkets is characterised by a mix of business models and store formats that capture different shopping occasions and customer preferences. In Australia, most consumers buy most of their groceries at supermarkets.¹⁰
- 2.10. There are many different business models and store formats for supermarkets. For illustrative purposes, supermarkets can broadly be categorised as:¹¹
- **Full-line supermarkets:** These are stores with a large retail floor space, typically ranging from 1,500m² to 4,000m², that sell a full range of grocery items, typically around 20,000 grocery Stock Keeping Units (**SKUs**) across all grocery categories.
 - **Small-format supermarkets:** These are stores with a smaller retail floor space ranging from 700m² to 1,500m² that sell a moderate range of fresh and packaged groceries, up to around 15,000 grocery SKUs across most categories.
 - **Hard discounters:** These offer a comparatively limited range of groceries covering most categories, focusing on private label products and with an everyday low-price strategy.
 - **Subscription warehouses:** These are very large, “big box” warehouse stores with an exclusive membership model (i.e., consumers must sign up to a paid membership to shop there).
 - **Premium gourmet:** These offer a comparatively smaller range of fresh and packaged groceries with a focus on quality food range, often including ready-to-eat options.

⁶ **[Redacted - confidential]**.

⁷ **[Redacted - confidential]**.

⁸ **[Redacted - confidential]**; **[Redacted - confidential]**.

⁹ On 1 February 2024 the Treasurer initiated the 2024-25 Supermarkets Inquiry (the **Supermarkets Inquiry**) by directing the ACCC to inquire into markets for the supply of groceries. On 21 March 2025, the ACCC released its final report for the Supermarkets Inquiry (the **Inquiry Report**). Where relevant, the ACCC has given consideration to its analysis and findings from the Supermarkets Inquiry. Coles participated in the Supermarkets Inquiry, including by making voluntary submissions, and may not agree with the ACCC’s analysis and findings as outlined in the Inquiry Report.

¹⁰ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 48.

¹¹ Supermarkets don’t necessarily fit neatly into these categories. The ACCC is using them for illustrative purposes.

- 2.11. Coles and Woolworths Group Limited (**Woolworths**) are Australia's two largest full-line supermarket operators, and the only ones with broad national coverage. They are vertically integrated, in that they procure groceries directly from suppliers, manage their own distribution and logistics networks, and operate retail stores under their respective banners. Coles and Woolworths operate approximately 860 and 1,117 supermarkets in Australia, respectively.¹² Coles and Woolworths generally set prices and product ranges on a state-wide or national basis.¹³ Coles submits that **[Redacted - confidential]**.¹⁴
- 2.12. ALDI Stores (A Limited Partnership) (**ALDI**) is vertically integrated and operates a low-cost business model that enables it to offer groceries at a relatively low price (it is a hard discounter). ALDI entered Australia in 2001, and now operates approximately 600 supermarkets throughout Australia, excluding Tasmania and the Northern Territory. ALDI supermarkets are typically located in larger population centres, and offer a comparatively narrow range of products, with a focus on private label.¹⁵
- 2.13. Some independent supermarket operators are also vertically integrated, including Drakes Supermarkets, and Harris Farm Markets. Other independent supermarket operators have also vertically integrated further up the supply chain by growing their own fresh produce. Spudshed, for example, operates 19 stores in Western Australia, manages its own distribution network, and sources a portion of its fresh produce directly from farms it owns. This allows Spudshed to retain control over most pricing and ranging decisions and retain control of supply.
- 2.14. Many independent supermarkets (including those trading under the IGA banner) are supplied groceries by the wholesale distributor Metcash Limited (**Metcash**). Metcash owns and operates some supermarkets but is predominantly a grocery wholesaler to independent supermarkets. Independent supermarkets retain control over most pricing and ranging decisions and store operation.¹⁶ Metcash also provides marketing support services to some independent supermarkets operating under Metcash-owned banners (including IGA and Foodland).
- 2.15. The IGA network is the largest grouping of independent supermarkets in Australia. Supermarkets within the IGA network fit into a range of store formats. While a number of large, full-line supermarkets operate under the IGA banner, the IGA network appears to be trending towards smaller format supermarkets.¹⁷
- 2.16. The ACCC Supermarkets Inquiry found that Coles and Woolworths do not consider themselves to be substantially competitively constrained on price by Metcash-supplied independent supermarkets. Nevertheless, Metcash-supplied independent supermarkets still provide benefits for consumers who shop around, while providing significant non-price competition.¹⁸
- 2.17. Independent supermarkets differentiate themselves in a variety of ways, including by tailoring their price, product range and service offering to suit preferences and

¹² Coles Group, [2025 Annual Report](#), p. 20 and Woolworths Group, [2025 Annual Report](#), p. 5.

¹³ See section 6 below for more discussion.

¹⁴ **[Redacted - confidential]**.

¹⁵ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 10.

¹⁶ For some products at some times, including promotions, a maximum retail price is set as part of arrangements with Metcash banner stores such as IGA stores. See **[Redacted - confidential]**.

¹⁷ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 126.

¹⁸ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 102.

demand within their local market. This may include, for example, sourcing some of their products from local suppliers, such as local bakeries, butchers, restaurants and producers. They may also tailor their customer service and store quality to suit local preferences.

- 2.18. Each supermarket offers a value proposition to attract customers to their store and to purchase groceries when in their store. In this way, the diverse range of supermarket stores contributes to the degree of competition in any particular area.

Market shares and concentration

- 2.19. Competition between supermarkets in Kalgoorlie is influenced by the range of local supermarket offers and the degree of concentration. Given Coles, Woolworths and Metcash operate at a national level, competition in Kalgoorlie will also be influenced by the nature of competition and concentration at the national level.
- 2.20. Grocery retailing by supermarkets across Australia is concentrated, with Coles and Woolworths operating as Australia's two largest full-line supermarket chains.¹⁹
- 2.21. Coles and Woolworths account for approximately 67% of the revenue earned by supermarkets and grocery stores nationally, as illustrated in Table 1.²⁰ The revenue shares in Table 1 include all grocery retailing with an approximate estimate of convenience retailing deducted. These shares are **[Redacted - confidential]**.²¹

Table 1 Estimated national share of grocery retailing by supermarkets and grocery stores

Retailer	Revenue (\$b) FY25*	Market share %*
Woolworths	51	38%
Coles	40	29%
ALDI	13	10%
Metcash supplied independents ²²	11	8%
Costco	5	4%
Other	15	11%
Total	135	100%

Source: ACCC analysis.²³

*Rounded to the nearest whole number.

¹⁹ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, pp. 51-52.

²⁰ ABS, Retail Trade, Australia, A3349862V (Supermarket and grocery stores), July 2024 – June 2025. Inclusive of 'non-petrol sales (convenience stores) of selected Fuel retailing'. [See: Retail Trade, Australia Methodology](#).

²¹ **[Redacted - confidential]**.

²² We use Metcash's 'Food' revenues as a proxy for independent supermarkets it supplies. Metcash's 'Food' revenues are revenues generated via the distribution of products and services to independent supermarkets and convenience retail outlets. See Metcash, [2025 Annual Report](#), p. 65. This understates the share for these stores as it doesn't reflect retail margins for independent supermarkets or their sale of goods sourced from other, non-Metcash suppliers. Understating Metcash-supplied stores' total revenue and market share also overstates the revenue and market share of the 'Other' category.

²³ To reach this estimate, the ACCC deducted an estimate of grocery retailing by convenience stores from ABS, Retail Trade, Australia, A3349862V (Supermarket and grocery stores), July 2024 – June 2025. Inclusive of 'non-petrol sales (convenience stores) of selected Fuel retailing'. [See: Retail Trade, Australia Methodology](#). Estimated total national grocery retailing by convenience stores sourced from: Australian Association of Convenience Stores, [Submission to Linfox](#)

- 2.22. The degree of concentration of supermarkets in local markets can also be assessed with reference to the number and size of particular operators' supermarkets. The ACCC has undertaken analysis of GapMaps (2024) data to assess Coles' share of stores and gross lettable areas (GLA) in the areas representing 10-minute drive times around each Coles store.²⁴ This analysis excludes smaller stores with GLA less than 1,000m².²⁵
- 2.23. Estimating the share of supply in the local areas around Coles' stores is not the same as estimating national shares for Coles across all local areas. The former may be higher than the latter because the former excludes the local markets in which Coles doesn't have a store. Nevertheless, this analysis illustrates the competitive rivalry Coles faces where it does operate.
- 2.24. The ACCC has applied a 10-minute drive time isochrone as a reasonable basis for the purposes of this analysis. Attachment A includes similar analysis for 5-minute and 20-minute drive time isochrones, demonstrating that Coles' and Woolworths' shares of GLA are not particularly sensitive to the size of the drive time isochrone.
- 2.25. Table 2 illustrates Coles' and Coles and Woolworths' combined median share of stores and GLA in areas representing 10-minute drive times around each Coles store. Coles median share of GLA was 37%. The median share of GLA for Coles and Woolworths combined was 81%.

Table 2 Share of stores and GLA in areas 10-minute drive time around each Coles store (GLA ≥ 1000m²)

Geography	Number of Coles stores*	Coles' median share of stores	Coles and Woolworths' median share of stores	Coles' median share of GLA	Coles and Woolworths' median share of GLA
National	848	32%	67%	37%	81%
WA	101	30%	57%	35%	72%

Source: ACCC analysis of GapMaps, 2024.

Note: The ACCC obtained the GapMaps data in 2024. While the data doesn't reflect subsequent openings and closings, it is sufficiently reliable for the state and national analysis the ACCC uses it for. See Attachment A for further discussion.

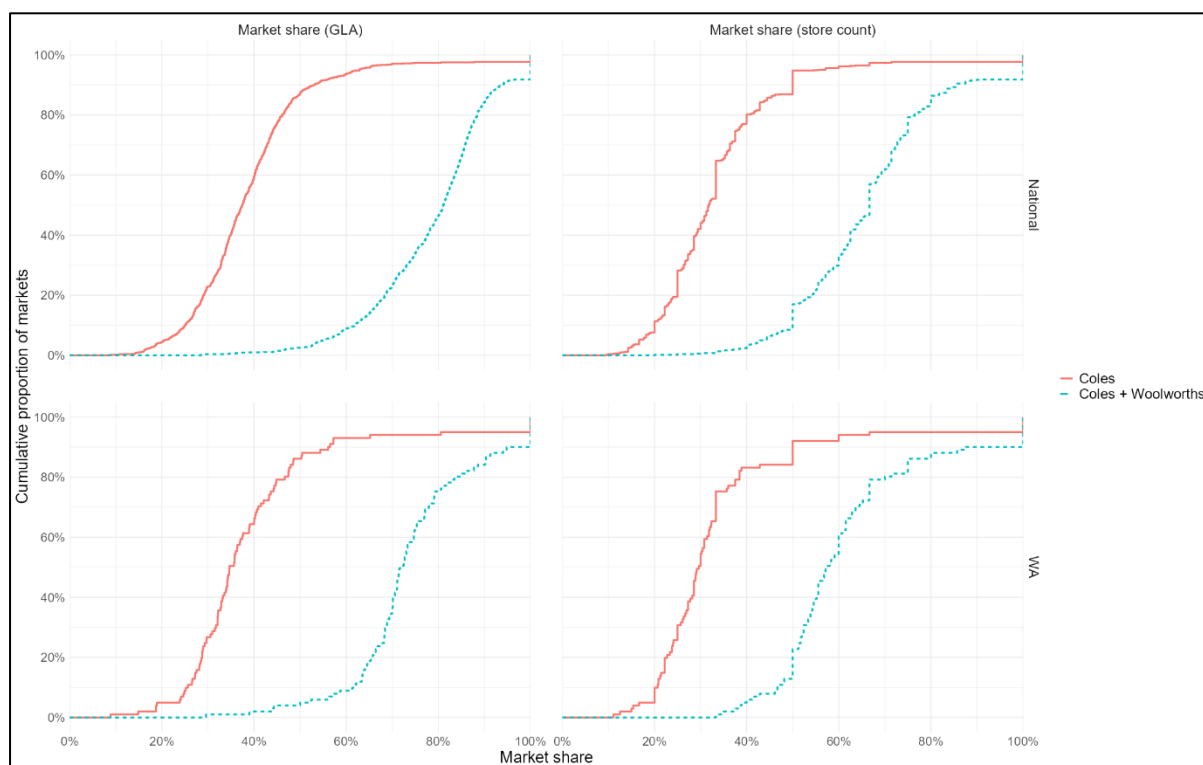
- 2.26. Figure 1 below illustrates the distribution of shares of GLA, for Coles only and Coles and Woolworths combined, for 10-minute isochrones around each Coles store in Australia and Western Australia. Coles has a GLA share greater than 30% in approximately 75% of these local areas. Coles and Woolworths have a combined GLA share greater than 60% in approximately 90% of these local areas.

[Armaguard Pty Ltd and Proseur Australia Holdings Pty Ltd proposed merger](#), Jan 2023. The estimate is an approximation and has not been adjusted for inflation, so may understate the extent of convenience retailing (which would tend to understate the share of supply of supermarkets).

²⁴ GLA refers to the total lettable area of the property on which the supermarket is located and can include car parks, outdoor areas and other buildings. Another measure of market share is retail area or sales floor area.

²⁵ In the Supermarkets Inquiry, the ACCC identified that for the vast majority of stores on which it had data, retail area was between 61% and 74% of GLA, with a median of 68%. A GLA of 1,000 square metres is therefore an approximation for 700 square metres of retail area. See ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 85.

Figure 1 Cumulative distributions of share of stores and GLA in areas representing 10-minute drive times around each Coles store (GLA $\geq 1000\text{m}^2$)



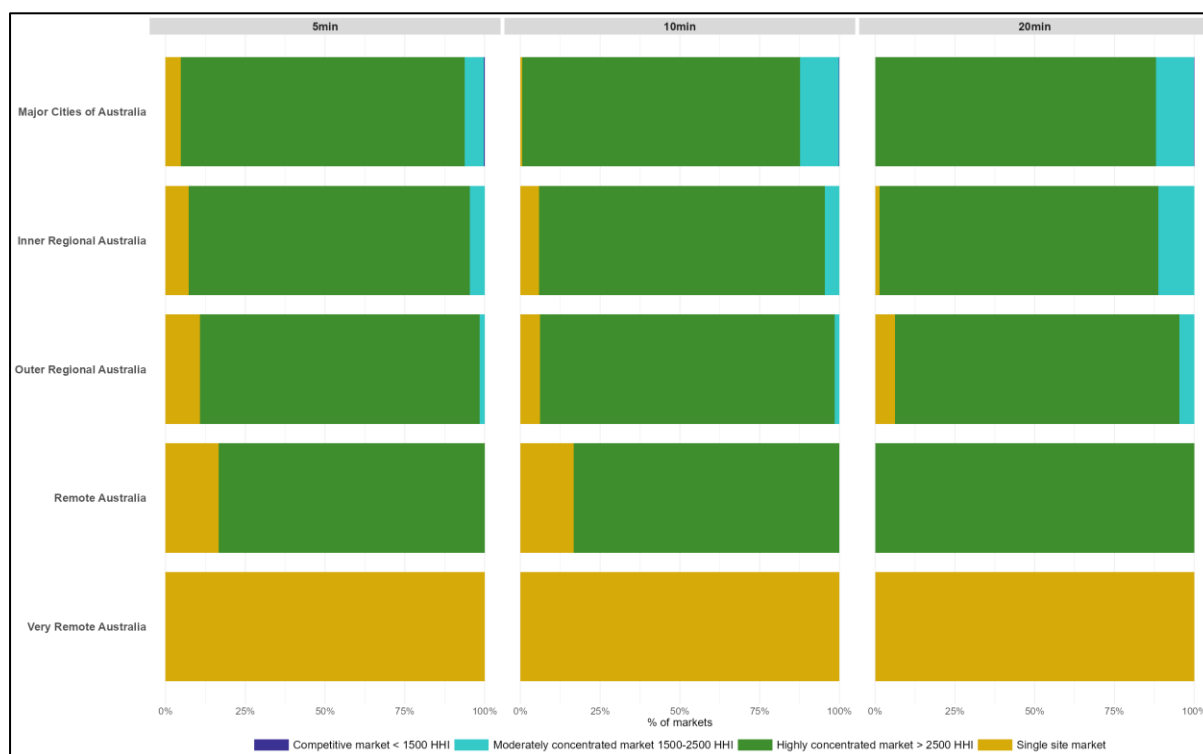
Source: ACCC analysis of GapMaps, 2024.

Note: See Attachment A for further discussion.

- 2.27. The Herfindahl-Hirschman Index (**HHI**), a recognised measure for representing the overall degree of concentration in a market, can also be used to show concentration in each of the local areas around Coles' stores.²⁶
- 2.28. Figure 2 below summarises the HHI measures for every local area around each Coles supermarket in Australia, divided into different geographies and repeated for different drive time isochrones. In this analysis, stores operating under common ownership are combined under a single 'group' for the purposes of calculating HHI. For example, all Coles stores in the local market are treated as a single firm.
- 2.29. Some independent supermarkets (such as most IGA, Foodland, Foodworks, Friendly Grocers, and Spar stores) are treated as separate groups, while others (such as Drakes, Spudshed, and Romeos) are treated as a single group. This reflects the ACCC's understanding of how independent supermarket groups operate.

²⁶ The derivation and use of the HHI is explained in the ACCC, *Merger Assessment Guidelines*, June 2025, p. 58.

Figure 2 Distribution of HHIs based on GLA for various types of geographies and drive time isochrones around Coles stores (GLA ≥ 1000m²) – by group



Source: ACCC analysis of GapMaps, 2024.

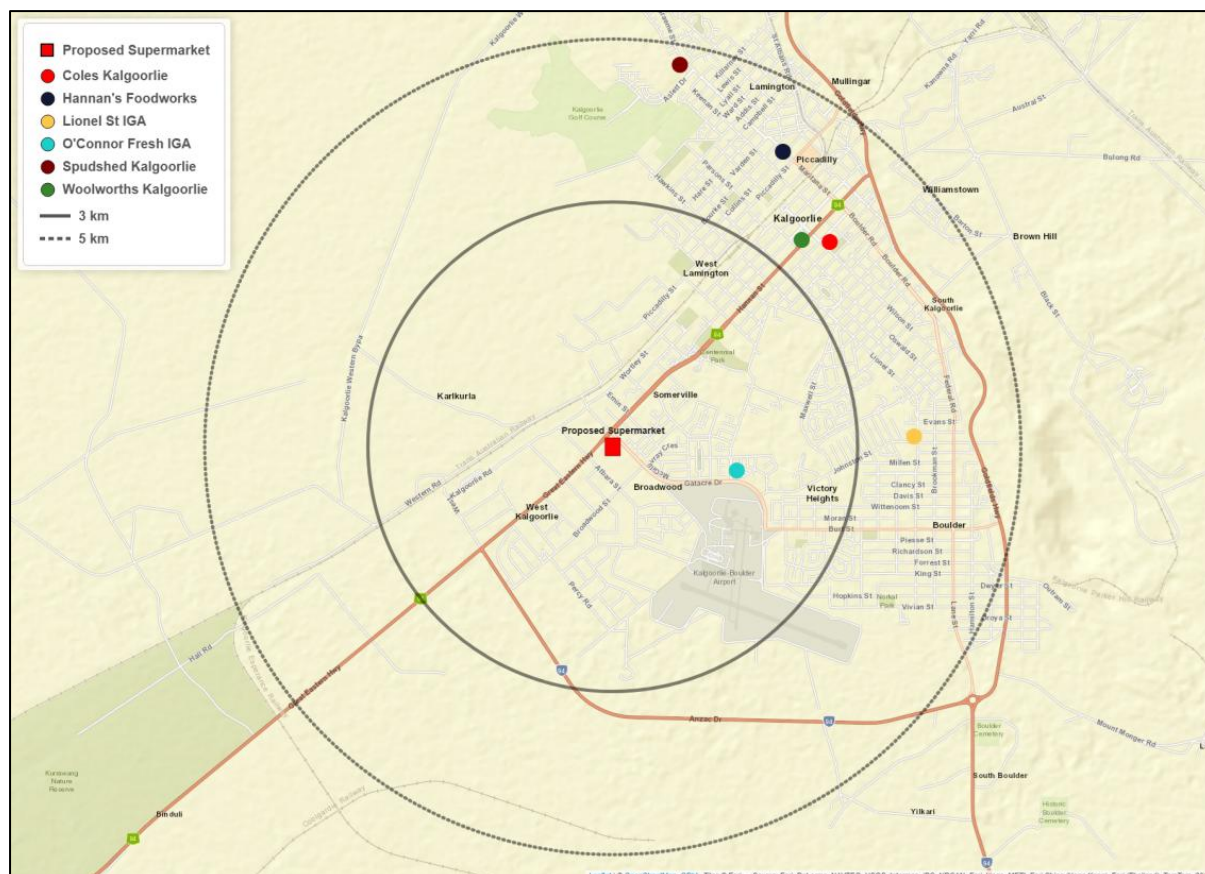
Note: See Attachment A for further discussion.

2.30. The above analysis indicates a high level of concentration in the local areas around Coles' stores. Attachment A contains a more detailed discussion of the market share and concentration analysis. Attachment A also compares the above analysis to a similar analysis but using data provided by Coles. A similar conclusion, that there is a high level of concentration in the local areas around Coles' stores, can be made from the analysis using Coles' data.

Overview of grocery retailing in Kalgoorlie

2.31. The locations of the 6 existing supermarkets in Kalgoorlie and the Proposed Supermarket are shown in Figure 3 below.

Figure 3 Map of supermarkets in Kalgoorlie



- 2.32. Of the 6 supermarkets in Kalgoorlie, 4 can be categorized as 'full-line'. These comprise national chain supermarket stores, being Coles Kalgoorlie and Woolworths Kalgoorlie, and two independent stores, being Spudshed Kalgoorlie and O'Connor Fresh IGA. Each supplies a large range of groceries including fresh produce, meat, dairy, bakery, frozen and general merchandise items, with a 'one-stop-shop' experience for consumers, in a large format store requiring many staff to operate.
- 2.33. The other 2 supermarkets in Kalgoorlie are also independent stores, being Hannans Marketplace by FoodWorks (**Hannans FoodWorks**) and IGA Lionel St. These fit more into the small-format category with smaller SFA. Their product ranges are smaller than the larger supermarkets in Kalgoorlie and they provide a more convenience-based offering to consumers, rather than an offering for a large or full-shop. While they are a form of competitive constraint in the Kalgoorlie area, they are second-order constraints on the full-line supermarkets.
- 2.34. Table 3 sets out the broad characteristics of the 6 existing supermarkets and the Proposed Supermarket.

Table 3 Supermarkets in Kalgoorlie

Store Name	Driving Distance (Time) from Proposed Supermarket ²⁷	Parties' estimates of SFA	Approx . SFA	Total SKUs	Revenue (\$m) (FY25)	Full Time Equivalent (FTE) staff	Category
Proposed Supermarket	0km (0min)	2,800 m ²	2,500 – 3,500 m ²	N/A	[Redacted - confidential]*	N/A	Full line
Coles Kalgoorlie	3.9km (5min)	[Redacted - confidential] m ²	2,500 – 3,500 m ²	~ [Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	Full line
Woolworths Kalgoorlie	3.8km (6min)	[Redacted - confidential] m ²	2,500 – 3,500 m ²	~ [Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	Full line
Spudshed Kalgoorlie	6.6km (9min)	[Redacted - confidential] m ²	1,500 – 2,500 m ²	~ [Redacted - confidential]	[Redacted - confidential]**	[Redacted - confidential]	Full line
O'Connor Fresh IGA	1.8km (3min)	[Redacted - confidential] m ²	1,000-1,500 m ²	~ [Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	Full line
Hannans FoodWorks	5.3km (7min)	~ [Redacted - confidential] ²⁸ m ²	700-1,000 m ²	~ [Redacted - confidential]	unknown	[Redacted - confidential]	Small format
IGA Lionel St	4.3km (6min)	~ [Redacted - confidential] m ²	500-1,000 m ²	~ [Redacted - confidential]	unknown	unknown	Small format

Source: ACCC analysis of public information and information provided by market participants.²⁹

*Forecast revenue for 1st year of trading (year ending **[Redacted - confidential]**). Note this includes revenue cannibalised from Coles Kalgoorlie. Incremental revenue for 1st year of trading is **[Redacted - confidential]**.

**Spudshed opened in November 2025. Its revenue figure is for FY26 to the end of March 2026.

2.35. Supermarkets in Kalgoorlie have varying trading hours. Coles and Woolworths are subject to trading hour limitations, while the other four independent supermarkets in

²⁷ Google. (n.d.) [Google Maps drive time for driving from the Property to Coles Kalgoorlie.] Retrieved 26 June 2026, from www.google.com/maps

²⁸ The ACCC received divergent submissions on the size of the Hannans FoodWorks. The proprietor estimates **[Redacted - confidential]**m², whereas Coles and the ACCC's GapMaps data suggest it is less than **[Redacted - confidential]**m². The ACCC considers the store is likely less than **[Redacted - confidential]**m² SFA, but where a precise figure is necessary, uses the proprietor's estimate. This is unlikely to materially alter the ACCC's assessment of this matter.

²⁹ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

Kalgoorlie are not.³⁰ Having longer trading hours is a valuable point of differentiation for independent supermarkets, particularly for mining and other shift workers who might prefer to shop outside ‘standard’ business hours.

- 2.36. Table 4 sets out the trading times for the 6 supermarkets in Kalgoorlie. The Proposed Supermarket will likely have similar trading hours to the existing Coles store.

Table 4 Opening hours of supermarkets in Kalgoorlie

	Coles	Woolworths	Spudshed	IGA Lionel St	O’Connor Fresh IGA	Hannans FoodWorks
Monday	7am-7pm	7am-7pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm
Tuesday	7am-7pm	7am-7pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm
Wednesday	7am-7pm	7am-7pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm
Thursday	7am-9pm	7am-9pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm
Friday	7am-7pm	7am-7pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm
Saturday	7am-6pm	7am-6pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm
Sunday	8am-3pm	8am-3pm	24 hours	4am-8:30pm	4am-10pm	4am-9pm

Source: Company websites accessed 25 June 2026.

Market shares and concentration in Kalgoorlie

- 2.37. Supermarket grocery retailing in Kalgoorlie is concentrated. Tables 5 and 6 set out market share estimates for Kalgoorlie, based on SFA and revenue.
- 2.38. When measured on an SFA basis, Coles’ share in Kalgoorlie is approximately **[Redacted - confidential]**% and Coles’ and Woolworths’ combined share is approximately **[Redacted - confidential]**% (including all supermarkets in Kalgoorlie, regardless of size). Coles’ share of SFA will increase from approximately **[Redacted - confidential]**% to approximately **[Redacted - confidential]**% with the Proposed Supermarket.

³⁰ Coles and Woolworths fall into the category of ‘general retail shops’ whereas the four independent supermarkets fall into the category of ‘small retail shops’ under the *Retail Trading Hours Act 1987* (WA). See also *Retail Trading Hours Regulations 1988* (WA) and *Retail Trading Hours (City of Kalgoorlie-Boulder) Variation Order 2020* (WA).

Table 5 Market shares based on SFA in Kalgoorlie

Supplier	Status quo*	With Proposed Supermarket*
Coles Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]
Proposed Supermarket	n/a	[Redacted - confidential]
Combined Coles	[Redacted - confidential]	[Redacted - confidential]
Woolworths Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]
Spudshed Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]
O'Connor Fresh IGA	[Redacted - confidential]	[Redacted - confidential]
Hannans FoodWorks	[Redacted - confidential]	[Redacted - confidential]
IGA Lionel St	[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis of information provided by market participants.³¹

*Rounded to the nearest whole number.

Table 6 Market shares based on revenue in Kalgoorlie

Supplier	Status quo (using 2024-25 FY)* ³²	Projected w/Proposed Supermarket ([Redacted - confidential])* ³³
Coles Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]
Proposed Supermarket	n/a	[Redacted - confidential]
Combined Coles	[Redacted - confidential]	[Redacted - confidential]
Woolworths Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]
Spudshed Kalgoorlie ³⁴	[Redacted - confidential]	[Redacted - confidential]
O'Connor Fresh IGA	[Redacted - confidential]	[Redacted - confidential]
Hannans FoodWorks ³⁵	[Redacted - confidential]	[Redacted - confidential]
IGA Lionel St ³⁶	[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis of information provided by market participants.³⁷

*Rounded to the nearest whole number.

Coles' profits in Kalgoorlie

2.39. Data provided by Coles suggests the retail supply of groceries in Kalgoorlie is highly profitable. Coles earned a gross margin of [Redacted - confidential]% from its

³¹ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

³² The ACCC has incomplete data and some figures have been estimated.

³³ For 2030 revenues we have relied on Coles' estimates as per [Redacted - confidential].

³⁴ Spudshed entered Kalgoorlie in November 2025, so it did not earn revenue in the 2024-25 financial year. Its estimate is based on its monthly revenues between January 2026 through to March 2026 extrapolated over 12 months.

³⁵ 2024-25 financial year revenue has been estimated using monthly figures from July 2025 through to October 2025.

³⁶ 2024-25 financial year revenue has been estimated [Redacted - confidential].

³⁷ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

Kalgoorlie store in FY25,³⁸ noting its national gross margin of **[Redacted - confidential]**%.³⁹ Coles earned a return on capital of **[Redacted - confidential]**% in FY25 in Kalgoorlie.⁴⁰

- 2.40. Further discussion of Coles' profitability, including some challenges in interpreting return on capital data, is set out in Attachment B.

3. The statutory framework and required ACCC decision

- 3.1. Australia's new formal mandatory and suspensory merger control regime came into effect on 1 January 2026. The acquisition provisions in this regime apply to acquisitions of shares or assets of a corporation, as well as other types of legal rights.⁴¹
- 3.2. The ACCC is the administrative decision maker under the new formal merger regime and determines whether a notified acquisition may be put into effect or must not be put into effect.⁴² Businesses that propose to give effect to an acquisition that meets the notification thresholds must notify it to the ACCC. The proposed acquisition is stayed until the ACCC or Australian Competition Tribunal determines that it may be put into effect.⁴³
- 3.3. The Act enables the Minister to determine, by legislative instrument, a class of acquisitions that must be notified⁴⁴ and the Minister has made a determination which has the effect of requiring that an acquisition of shares or assets by which Coles or Woolworths acquires a legal or equitable interest in land is a notifiable acquisition including where the land does not have a commercial building upon it and it exceeds 2,000 square metres in area, and the acquisition does not relate to land upon which a business, other than a supermarket business, is operating or will operate.⁴⁵ The Acquisition was voluntarily notified to the ACCC by Coles prior to this requirement coming into force.

Substantial lessening of competition test

- 3.4. The ACCC may only determine that a proposed acquisition must not be put into effect if it is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.⁴⁶ This is sometimes referred to as the SLC test.
- 3.5. The concept of lessening competition is expanded to include preventing or hindering competition.⁴⁷

³⁸ **[Redacted - confidential]**.

³⁹ Coles Group, [2025 Annual Report](#), p. 20.

⁴⁰ **[Redacted - confidential]**.

⁴¹ Act, s 51ABB.

⁴² Act, s 51ABZE(1).

⁴³ Act, ss 51ABE and 51ABF.

⁴⁴ Act, s 51ABQ.

⁴⁵ [Competition and Consumer \(Notification of Acquisitions\) Determination 2025](#).

⁴⁶ Act, s 51ABZE(2)(c).

⁴⁷ Act, s 4G.

- 3.6. The SLC test requires a focus on whether the effect or likely effect on competition of a proposed acquisition is substantial. This has been interpreted to mean an effect that is real or of substance, and therefore meaningful and relevant to the competitive process.
- 3.7. In the context of mergers, the SLC is a forward-looking test that ‘requires a comparison between the nature and extent of competition in the future with the acquisition and without the acquisition in any market potentially affected by the acquisition. It involves a prediction about the future.’⁴⁸ In this context, when assessing the likely effect of a proposed acquisition, the decision maker must determine whether there is a *real commercial likelihood* of a substantial lessening of competition. As explained by the Federal Court, ‘the word “likely” has to be applied at a level which is commercially relevant or meaningful as must be the assessment of the substantial lessening of competition under consideration’.⁴⁹
- 3.8. The Federal Court has said that the SLC test ‘ultimately poses one question involving *one* evaluative judgment’⁵⁰ and that it turns on satisfaction in relation to this single evaluative judgment, even though the exercise of determining whether the competitive effects of a transaction amount to a substantial lessening of competition involves multiple constituent inquiries, namely, identifying the futures with and without the transaction, identifying the effect on competition of each, and then making the relevant comparison leading to answering that question.⁵¹
- 3.9. In the context of the formal merger regime, this requires the ACCC, as the decision-maker, to take into account all of the material before it, assess the weight to be given to that material and consider the potential effects on competition, both positive and negative, and the different degrees of likelihood of these effects. It is this assessment that informs the single evaluative judgement which the ACCC must make as to whether it is satisfied in all the circumstances that the proposed acquisition would have or would be likely to have the effect of substantially lessening competition. To be satisfied means the ACCC must have an affirmative belief⁵² about the requirements of the test in section 51ABZE(2)(c).

4. Coles Supermarkets’ Notification and the assessment process

Notification lodgement and timeline

- 4.1. Coles Supermarkets voluntarily notified the Acquisition under the new merger regime prior to the mandatory notification requirements commencing on 1 January 2026. The effective notification date was 27 November 2025.

⁴⁸ *Australian Competition and Consumer Commission v Pacific National Pty Limited* (2020) 277 FCR 49; [2020] FCAFC 77, [216] (Middleton and O’Byrne JJ).

⁴⁹ *Australian Gas Light Company v Australian Competition & Consumer Commission* (No 3) (2003) 137 FCR 317; [2003] FCA 1525, [348].

⁵⁰ *ACCC v Pacific National*, [246] (Middleton and O’Byrne JJ) approving the approach taken by Beach J in *Australian Competition and Consumer Commission v Pacific National Pty Ltd* [No 2] [2019] FCA 669, [1276].

⁵¹ *Australian Competition and Consumer Commission v Pacific National Pty Ltd* [No 2] [2019] FCA 669, [1276]; approved by the Full Federal Court in *Australian Competition and Consumer Commission v Pacific National Pty Limited* (2020) 277 FCR 49; [2020] FCAFC 77, [246] (Middleton and O’Byrne JJ).

⁵² *BOY19 v Minister for Immigration and Border Protection* [2019] FCA 574, [55].

- 4.2. On 29 January 2026 the ACCC decided the notification would be subject to Phase 2 review and published its decision to this effect. On 6 March 2026, the ACCC provided its Notice of Competition Concerns (**NOCC**) for this matter to Coles and published a summary of the NOCC on the acquisitions register.
- 4.3. The ACCC decided it would extend the timeline for the review three times when Coles Supermarkets took longer than 10 business days to respond to a section 155 notice, by:
- 6 business days on 13 May 2026;
 - 4 business days on 18 May 2026; and
 - 4 business days on 25 May 2026.
- 4.4. The end of the determination period is 2 July 2026.

Market engagement and information gathering

- 4.5. Over the course of its assessment, the ACCC has engaged with, and received substantive submissions and information from Coles Supermarkets, market participants in Kalgoorlie and other regions, and other interested parties.
- 4.6. In doing so, the ACCC has gathered information on both a voluntary and compulsory basis, including:
- sending voluntary requests for information and documents;
 - issuing compulsory notices seeking the provision of information and production of documents under section 155(1)(a) and (b) of the Act;
 - conducting voluntary interviews; and
 - conducting compulsory examinations of individuals under section 155(1)(c) of the Act.
- 4.7. ACCC staff also visited all of the supermarkets in Kalgoorlie in April 2026.⁵³
- 4.8. To assist it with assessing the Acquisition, the ACCC also sought expert opinions from:
- Professor Patrick Rey, Professor of Economics of the Toulouse School of Economics at the University of Toulouse, who prepared expert reports dated 14 May 2026 (**First Rey Report**) and 25 June 2026 (**Second Rey Report**);
 - Dawna Wright, Senior Managing Director at FTI Consulting, who prepared expert reports dated 18 May 2026 (**First Wright Report**) and 17 June 2026 (**Second Wright Report**); and
 - Heather Matheson, Partner at McGrathNicol, and Robyn McKern, Senior Consultant at McGrathNicol, who prepared a memorandum dated 5 June 2026 (**McGrathNicol Memorandum**).

⁵³ ACCC, *Site Visit – notes*, 16 and 17 April 2026, 01068.022.015.0351; ACCC, *Site Visit – Coles Kalgoorlie – images*, 16 April 2026, 01068.022.015.0001; ACCC, *Site Visit – Hannans Marketplace – images*, 16 April 2026, 01068.022.015.0325; ACCC, *Site Visit – IGA Lionel St – images*, 16 April 2026, 01068.022.015.0026; ACCC, *Site Visit – O'Connor Fresh IGA – images*, 16 April 2026, 01068.022.015.0032; ACCC, *Site Visit – Spudshed Kalgoorlie – images*, 16 April 2026, 01068.022.015.0073; ACCC, *Site Visit – Woolworths Kalgoorlie – images*, 17 April 2026, 01068.022.015.0363.

4.9. In particular, the ACCC has engaged extensively with Coles Supermarkets since the NOCC, including, but not limited to:

- Coles Supermarkets' response to the NOCC dated 14 April 2026, accompanied by:
 - an expert report prepared by Warwick Davis, Economist at Frontier Economics (Australia), dated 14 April 2026 (**First Davis Report**);
 - a statement from Fiona Mackenzie, General Manager of Property at Coles Group, dated 14 April 2026 (**Mackenzie Statement**); and
 - an expert report prepared by Tony Samuel, Managing Director at Sapere Forensic, dated 4 May 2026 (**First Samuel Report**);
- **[Redacted - confidential];**
- providing Coles Supermarkets with:
 - copies of the First Rey Report and First Wright Report on 18 May 2026;
 - information about the supermarket site visits by ACCC staff in April 2026, market share estimates and top 100 SKU analysis on 21 May 2026; and
 - information about potential new entry, market share and HHI analysis and a copy of the McGrathNicol Memorandum on 5 June 2026;
- further submissions from Coles Supermarkets dated 11 June 2026 in response to the information and documents provided by the ACCC, accompanied by:
 - an expert report prepared by Dr Mike Walker, Senior Adviser at Frontier Economics (UK), dated 9 June 2026 (**Walker Report**);
 - a supplementary expert report prepared by Warwick Davis, Economist at Frontier Economics (Australia), dated 10 June 2026 (**Second Davis Report**);
 - a supplementary expert report prepared by Tony Samuel, Managing Director at Sapere Forensic, dated 11 June 2026 (**Second Samuel Report**); and
 - a statement from Katie Preston, Head of Range, Space and Systems at Coles Group, dated 11 June 2026 (**Preston Statement**); and
- a memorandum prepared by Warwick Davis and Dr James Key, Economists at Frontier Economics (Australia), dated 19 June 2026 (**Frontier Australia Memorandum**); and
- compulsory examinations under section 155(1)(c) of the Act of Coles staff holding the following positions:
 - Store Manager, Kalgoorlie
 - Regional Manager – W107
 - General Manager – Western Australia
 - National Location Planning Manager
 - Head of Pricing and Value.

Coles Supermarkets' submissions

- 4.10. The ACCC understands Coles Supermarkets' position on each of the key issues set out in this Statement of Reasons is broadly as follows based on the submissions and evidence it has provided. These issues are discussed in more detail in the corresponding sections of the determination below.

Relevant areas of competition

- 4.11. The relevant frame of reference for assessing the Acquisition is the retail supply of groceries by supermarkets in Kalgoorlie.⁵⁴

Acquisition's likely impact on the continued operation of an effective competitor

- 4.12. The Acquisition will not lead to an oversupply of supermarket capacity.⁵⁵ Even if it does, this will only be temporary in nature and is unavoidable given the lumpy nature of investments in capacity.⁵⁶
- 4.13. Specifically, the Acquisition will not lead to the exit of the Relevant Independent.⁵⁷ Even if it does, due to the Relevant Independent's current debt levels and capex, the underlying business remains financially viable, such that its assets will likely remain in the market.⁵⁸

Competition on the merits

- 4.14. Even if the Relevant Independent does exit, this will be due to its business being inefficient, and therefore the outcome of competition on the merits. It is not the role of competition laws and policies to protect less efficient competitors at the expense of the competitive process.⁵⁹ Competition should be analysed on a dynamic basis, rather than being a static comparison of consumer surplus.⁶⁰
- 4.15. The investment in the Proposed Supermarket would only be anticompetitive if Coles Supermarkets has a predatory intent or strategy. Based on the business case for the Proposed Supermarket, which is robust and accurate, Coles Supermarkets considers that it would likely be profitable to invest in the Proposed Supermarket even if the Relevant Independent does not exit, showing that it does not have any such predatory intent or strategy.⁶¹

⁵⁴ [Redacted - confidential].

⁵⁵ [Redacted - confidential].

⁵⁶ [Redacted - confidential]; [Redacted - confidential].

⁵⁷ [Redacted - confidential]; [Redacted - confidential].

⁵⁸ [Redacted - confidential]; [Redacted - confidential].

⁵⁹ [Redacted - confidential].

⁶⁰ [Redacted - confidential]; [Redacted - confidential].

⁶¹ [Redacted - confidential].

Likelihood of timely and sufficient new entry

- 4.16. There have been historical examples of entry by independent supermarkets in circumstances when there were a total of three Coles and Woolworths supermarkets in Kalgoorlie, demonstrating that there are limited barriers to entry and that entry is profitable.⁶²
- 4.17. Further, if the Relevant Independent does exit, this will provide an opportunity for new entry by purchasing the underlying business or developing a new supermarket at its existing site.⁶³

Competitive effects in the retail supply of groceries in Kalgoorlie

Change in market shares and concentration

- 4.18. The Acquisition will only lead to a limited increase in Coles' market share and concentration.⁶⁴
- 4.19. Even if the Relevant Independent exits, there will still be a Woolworths and other independent supermarkets in Kalgoorlie.⁶⁵

Response by competitors

- 4.20. The Relevant Independent and other supermarkets will be incentivised to compete more vigorously in response to the Proposed Supermarket to counter the loss of sales to Coles.⁶⁶

The loss of an effective independent competitor

- 4.21. In addition to potentially being an inefficient competitor, the Relevant Independent does not:
- compete particularly vigorously on price, generally being more expensive than Coles Kalgoorlie;⁶⁷ or
 - provide a highly differentiated product offering.⁶⁸
- 4.22. Even if the Relevant Independent exits, the remaining supermarkets, including Coles, and other retailers can expand their product ranges to meet demand for the Relevant Independent's product offering to the extent not already covered.⁶⁹

⁶² [Redacted - confidential].

⁶³ [Redacted - confidential].

⁶⁴ [Redacted - confidential].

⁶⁵ [Redacted - confidential].

⁶⁶ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

⁶⁷ [Redacted - confidential].

⁶⁸ [Redacted - confidential].

⁶⁹ [Redacted - confidential]; [Redacted - confidential].

The effect of any loss of rivalry on competition

- 4.23. Following the Acquisition, Coles Supermarkets will not have an increased ability or incentive to raise prices, given it remains constrained and primarily sets its prices on a state-wide and/or national level, by reference to key competitors such as Woolworths and ALDI.⁷⁰
- 4.24. While Coles' product range aligns with local market characteristics, it is determined through centrally governed national ranging processes and decisions are not made in response to local competitors.⁷¹
- 4.25. More broadly, other non-price aspects of competition are expected to be delivered in accordance with operational standards.⁷²
- 4.26. The manner in which Coles Supermarkets competes in Kalgoorlie will therefore not change materially after the Acquisition, including if the Relevant Independent exits.⁷³

5. Relevant areas of competition

- 5.1. The ACCC considers that, for the purposes of assessing the Acquisition, the relevant area of competition is the retail supply of groceries by supermarkets in Kalgoorlie (the **Kalgoorlie market**).
- 5.2. Coles agrees with that view, but does not consider it necessary to precisely define the scope of the relevant market, as it submits that the Acquisition is not likely to substantially lessen competition on any plausible market definition.⁷⁴
- 5.3. Market definition is a purposive tool used to help assess whether an acquisition might have anti-competitive effects. In defining the relevant market for the purposes of assessing the Acquisition, the ACCC is focusing on the most important competitive constraints on Coles.
- 5.4. For any given supermarket in Kalgoorlie, the extent of competitive rivalry it faces from other participants will depend on a range of factors, including, for example, how similar or differentiated its product offering is and its location.

Product market

- 5.5. In considering the relevant product market, the ACCC has assessed the extent to which full-line supermarkets, small format supermarkets and category specialists are likely to be substitutes.
- 5.6. The ACCC considers the relevant product dimension is the retail supply of groceries by supermarkets.

⁷⁰ [Redacted - confidential].

⁷¹ [Redacted - confidential]; [Redacted - confidential].

⁷² [Redacted - confidential].

⁷³ [Redacted - confidential].

⁷⁴ [Redacted - confidential].

- 5.7. Coles does not dispute this from a market definition perspective, but notes there is some product overlap with other retailers, such as convenience stores, service/petrol stations, newsagents, tobacconists, fast food/takeaway food outlets and other speciality retailers, which therefore impose a degree of competitive constraint.⁷⁵
- 5.8. Unlike other retailers of groceries, such as category specialists, supermarkets offer consumers the convenience of a 'one stop-shop' service for their grocery needs, by retailing a broad range of grocery products.
- 5.9. The ACCC considers Woolworths Kalgoorlie, O'Connor Fresh IGA, Spudshed Kalgoorlie and Coles Kalgoorlie are all full-line supermarkets. While there is some important differentiation between them, these supermarkets operate as close substitutes for customers, given their breadth and depth of range, and relative size (as set out in Table 3), particularly when compared with the two smaller supermarkets in Kalgoorlie.
- 5.10. The two smaller supermarkets operate as partial substitutes to full-line supermarkets. As they have a more limited range, fewer FTE staff and smaller floorplan,⁷⁶ they do not provide the same offering and are not by-and-large 'one-stop' shops.
- 5.11. Convenience stores and specialty and general merchandise stores, while they overlap in some product offerings with supermarkets, are unlikely to be regarded by consumers as sufficiently close substitutes for them to be considered part of the relevant market. Convenience stores target consumers seeking fewer items per shopping trip based primarily on location and hours of opening.
- 5.12. The ACCC notes Coles' internal documents identify **[Redacted - confidential]**⁷⁷
- 5.13. While specialist retailers, such as Chemist Warehouse, Bunnings Warehouse, butchers, bakeries, and greengrocers may stock a subset of grocery or household items also sold by supermarkets, the ACCC considers their ranges are not sufficiently broad or substitutable to be close substitutes for or strong constraints on supermarkets.
- 5.14. Kalgoorlie has a significant fly-in-fly-out (FIFO) worker population. This characteristic of the local population does not alter the relevant product dimension of the market. While FIFO worker grocery requirements may differ from the resident population, this is likely reflected in consumer demand and consequent ranging decisions at the supermarkets.⁷⁸

Geographic market

- 5.15. In considering the relevant geographic market, the ACCC has sought to assess the willingness of customers to travel to purchase groceries at supermarkets in and around Kalgoorlie. The Proposed Supermarket is located in Kalgoorlie, a remote regional city, where the nearest supermarket outside of Kalgoorlie is an IGA Local Grocer 38km away, in Coolgardie.

⁷⁵ See, for example, **[Redacted - confidential]**.

⁷⁶ See Table 3.

⁷⁷ **[Redacted - confidential]**.

⁷⁸ See, for example, **[Redacted - confidential]**. **[Redacted - confidential]**

- 5.16. Coles submits that the geographic market is likely broader than Kalgoorlie, and no narrower than the town. Coles' submission is that **[Redacted - confidential]**.⁷⁹
- 5.17. The ACCC considers that the geographic market is Kalgoorlie, including because consumers value convenience and proximity when doing their grocery shopping. In the Supermarkets Inquiry Report, for consumers who have a choice of main grocery store, convenience was a key factor affecting this choice, and location was a key factor influencing convenience.⁸⁰
- 5.18. While the ACCC agrees that people visiting Kalgoorlie are likely to visit supermarkets when they are in Kalgoorlie due to convenience, given the geographic remoteness of the region, the ACCC does not expect a significant proportion of people would travel between Kalgoorlie and adjacent towns to shop at different supermarkets. This view is consistent with mobile phone location data **[Redacted - confidential]**, which suggests most of the customers of Kalgoorlie supermarkets come from within Kalgoorlie.⁸¹
- 5.19. Evidence before the ACCC also suggests that while proximity to a supermarket may be important to customers in Kalgoorlie, they appear to be willing to travel all around Kalgoorlie to visit their preferred supermarket. A market participant provided analysis of mobile phone data undertaken by Geotech, showing **[Redacted - confidential]**,⁸² **[Redacted - confidential]**.⁸³ Coles completed similar analysis which indicates **[Redacted - confidential]**.⁸⁴
- 5.20. The ACCC does not consider that the geographic market is likely to be any narrower than Kalgoorlie. The evidence provided to the ACCC supports the view that while proximity to supermarkets is important to customers in Kalgoorlie, they have a willingness to travel within Kalgoorlie to visit their preferred supermarket.

6. Competition assessment

Summary of competition assessment

- 6.1. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.
- 6.2. In the future with the Acquisition, Coles will invest in the Proposed Supermarket, increasing grocery retailing capacity in Kalgoorlie. While it is expected to have largely the same product range and prices as the existing Coles supermarket, the Proposed Supermarket is likely to increase the degree of competition amongst existing supermarkets in Kalgoorlie as the new store competes for customers and sales.
- 6.3. However, the establishment of the Proposed Supermarket is also likely to lead, in time, to the exit of an independent supermarket in Kalgoorlie. If this occurs,

⁷⁹ **[Redacted - confidential]**.

⁸⁰ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, pp 81-82.

⁸¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

⁸² **[Redacted - confidential]**.

⁸³ **[Redacted - confidential]**.

⁸⁴ **[Redacted - confidential]**; **[Redacted - confidential]**.

compared to a future without the Acquisition, consumers will lose a differentiated and valued offering, and the market will lose an effective competitive rival to Coles and other supermarket operators in Kalgoorlie.

- 6.4. On the evidence before it, the ACCC is satisfied that the Acquisition would, in all the circumstances, be likely to have the effect, of substantially lessening competition in the Kalgoorlie market.

Overview of the competitive process

- 6.5. The object of the Act is to enhance the welfare of Australians through the promotion of competition and fair trading, and provision for consumer protection. This object is given force through, amongst other provisions, the provisions of the CCA which in effect are directed to prohibiting acquisitions that will or are likely to have the effect of substantially lessening competition in a market. These provisions seek to ensure the competitive process enhances the welfare of Australians through the economically efficient use of resources and allocation of benefits to consumers.
- 6.6. Consumers demand groceries, which are supplied by supermarkets. Supermarkets compete for that customer demand through price, product range and quality, store quality and customer service. Each of these factors creates value for customers, as supermarkets seek to differentiate themselves to attract customers.
- 6.7. Supermarket operators engage in the competitive process by making business decisions to maximise profit by attracting customers to their supermarkets. With more effective competitors in any local market, competitors will have to undertake more competitive activity to succeed, and their customers will benefit from having better stores to visit, product ranges and product qualities more suited to them, prices they value, and higher customer service. If there is less competition in a local market, there will be less incentive for operators to compete to attract customers to their supermarket and consumers will likely be worse off.
- 6.8. Supermarkets compete to attract customers across the following dimensions:
- **Planning and development:** Developers propose to develop land and construct buildings and associated works suitable to lease to a supermarket operator.⁸⁵ It is important for supermarket operators that the location of the development and its design is attractive to customers who value proximity to where they shop.⁸⁶ It is also beneficial for developments to have a mix of tenants (e.g. a Coles and an ALDI, or an IGA and a Chemist Warehouse), as that gives more reasons for customers to visit and shop at that site.⁸⁷
 - **Supermarket fit-out:** Supermarket operators commit to long-term leases for that land and associated building, and invest in fixtures.⁸⁸ They make their own investments to fit out the supermarket, which involve installing shelves, fridges,

⁸⁵ See, for example, [Redacted - confidential].

⁸⁶ See, for example, [Redacted - confidential].

⁸⁷ See, for example, [Redacted - confidential].

⁸⁸ [Redacted - confidential].

checkouts, and other assets.⁸⁹ Supermarket operators choose buildings and fit-out designs that they believe would be valued by potential customers.⁹⁰

- **Product range and pricing choices:** Supermarket operators choose product ranges to supply to potential customers in their supermarkets and choose prices at which to sell those products. Large national chains may operate more efficiently if they centralise those choices, which results in very similar ranges and prices across many local markets. Smaller local competitors can generate value by being more flexible with the product ranges and prices to better suit and adapt to the demand of the local markets they supply. Product range and price choices are dynamic and important levers for supermarket operators to attract potential customers to shop at their supermarket rather than a competitor's. In addition to sourcing from smaller and/or local suppliers, supermarket operators can prepare their own products, particularly by butchering meat or preparing fresh meals.
- **Customer service levels:** Supermarket operators choose the level of service they provide for customers shopping at their stores. Customer service is also an important factor in attracting customers. Customer service is costly and involves hiring additional staff or contractors for a range of jobs, including operating checkouts, stocking shelves, assisting customers, cleaning floors and providing security.

- 6.9. There are substantial fixed costs associated with operating a supermarket, including lease commitments and fit-out costs.⁹¹ Therefore, it is important that supermarket operators provide an overall value proposition to customers – taking into account all the factors above and more – to attract them to their store and encourage them to purchase products while there. If they cannot attract enough customers, they can become unprofitable and will likely exit the market. Exiting stores may be replaced by new entrants that could provide better value to customers. However, in markets where new entry is unlikely, the exit of competitors is likely to lead to less competition between remaining rivals.

Supermarket competition in Kalgoorlie

- 6.10. The ACCC has assessed the extent to which Coles and Woolworths, as well as Spudshed and O'Connor Fresh IGA, compete closely.⁹²
- 6.11. Coles submits that it does not compete particularly closely with O'Connor Fresh IGA or Spudshed, with its decisions in respect of product pricing and range/quality being largely determined centrally and applied consistently at a state-wide and/or national level, having regard to, among other things, Coles' key national competitors, such as Woolworths and ALDI.
- 6.12. Based on the evidence before it, the ACCC considers that Coles and Woolworths are each other's closest competitors in Kalgoorlie, but that O'Connor Fresh IGA and

⁸⁹ [Redacted - confidential].

⁹⁰ [Redacted - confidential].

⁹¹ [Redacted - confidential].

⁹² [Redacted - confidential].

Spudshed are also material rivals to Coles and Woolworths, providing a differentiated offering that customers value.

- 6.13. Coles and Woolworths are both national full-line supermarkets with relatively new stores in Kalgoorlie where staff are encouraged to provide a high level of customer service. By comparison, Spudshed is more of a low-cost discounter of fresh produce while O'Connor Fresh IGA focusses more on higher-value local products and a high standard of customer service.
- 6.14. As independent stores, Spudshed and O'Connor Fresh IGA are more flexible in the price and product range decisions than Coles and Woolworths, and tailor their offers to more closely meet local demand in Kalgoorlie. Spudshed and O'Connor Fresh IGA attract a material proportion of the total amount that customers spend on groceries in Kalgoorlie, demonstrating that they compete effectively with Coles and Woolworths to win customers.
- 6.15. These findings are based on the assessment set out below.

Coles and Woolworths

- 6.16. Coles and Woolworths both set prices on a national or state-wide basis, subject to limited exceptions.⁹³
- 6.17. In doing so, Coles **[Redacted - confidential]**.⁹⁴ Woolworths submits it **[Redacted - confidential]**.⁹⁵
- 6.18. Coles submits **[Redacted - confidential]**.⁹⁶ It also submits **[Redacted - confidential]**.⁹⁷
- 6.19. With respect to Kalgoorlie, Coles submits **[Redacted - confidential]**.⁹⁸ Woolworths **[Redacted - confidential]**.⁹⁹
- 6.20. Coles and Woolworths compete on the quality of their stores. Coles has a large format full-line supermarket in central Kalgoorlie that forms part of its national network of stores.¹⁰⁰ This new store replaced two relatively old stores in 2021.
- 6.21. Woolworths most recently refurbished its full-line supermarket in central Kalgoorlie in **[Redacted - confidential]**.¹⁰¹ This store forms part of Woolworths' national network of stores. With respect to store quality, Coles submits **[Redacted - confidential]**.¹⁰² Similarly, Woolworths submits **[Redacted - confidential]**.¹⁰³

⁹³ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 89.

⁹⁴ **[Redacted - confidential]**.

⁹⁵ **[Redacted - confidential]**.

⁹⁶ **[Redacted - confidential]**.

⁹⁷ **[Redacted - confidential]**.

⁹⁸ **[Redacted - confidential]**.

⁹⁹ **[Redacted - confidential]**.

¹⁰⁰ **[Redacted - confidential]**.

¹⁰¹ An internal document from Coles indicates the Woolworths Kalgoorlie store was refurbished **[Redacted - confidential]**.
[Redacted - confidential].

¹⁰² **[Redacted - confidential]**; **[Redacted - confidential]**.

¹⁰³ **[Redacted - confidential]**; **[Redacted - confidential]**.

- 6.22. While moving from a two-store strategy to a one-store strategy in Kalgoorlie, Coles also identified **[Redacted - confidential]**.¹⁰⁴ Coles identified **[Redacted - confidential]**.¹⁰⁵
- 6.23. Coles has a process of identifying and monitoring **[Redacted - confidential]**.¹⁰⁶ **[Redacted - confidential]**.¹⁰⁷
- 6.24. Coles and Woolworths also compete on customer service. Woolworths submits it focusses on **[Redacted - confidential]**.¹⁰⁸ Coles **[Redacted - confidential]**.¹⁰⁹ Coles also **[Redacted - confidential]**.¹¹⁰ Both Coles and Woolworths are subject to restricted trading hours under Western Australian regulations and set similar trading hours, as set out in Table 4.
- 6.25. With respect to setting product range in Kalgoorlie, Coles submits **[Redacted - confidential]**.¹¹¹ Coles further submits it sets product range in Kalgoorlie, having regard to nationally determined factors, while reflecting local market and store characteristics.¹¹²
- 6.26. For example, Coles submits '**[Redacted - confidential]**.'¹¹³
- 6.27. Woolworths submits it **[Redacted - confidential]**.¹¹⁴ Woolworths also submits **[Redacted - confidential]**.¹¹⁵
- 6.28. In a statement from Coles' Head of Range, Space and Systems, Coles provides detailed information on how it determines range **[Redacted - confidential]**.¹¹⁶ Factors considered in ranging decisions **[Redacted - confidential]** include, **[Redacted - confidential]**.¹¹⁷ The evidence from Coles' Head of Range, Space and Systems is that:
- '**[Redacted - confidential]**'¹¹⁸
 - '**[Redacted - confidential]**.'¹¹⁹
 - '**[Redacted - confidential]**.'¹²⁰
- 6.29. Information from Coles and Woolworths indicates that, subject to few exceptions, they generally set prices on a national basis for the majority of their groceries and on a state-wide basis for fresh produce.¹²¹

¹⁰⁴ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

¹⁰⁵ **[Redacted - confidential]**.

¹⁰⁶ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

¹⁰⁷ **[Redacted - confidential]**; **[Redacted - confidential]**.

¹⁰⁸ **[Redacted - confidential]**.

¹⁰⁹ **[Redacted - confidential]**.

¹¹⁰ **[Redacted - confidential]**; **[Redacted - confidential]**.

¹¹¹ **[Redacted - confidential]**; **[Redacted - confidential]**;

¹¹² **[Redacted - confidential]**; **[Redacted - confidential]**.

¹¹³ **[Redacted - confidential]**.

¹¹⁴ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 89.

¹¹⁵ **[Redacted - confidential]**.

¹¹⁶ **[Redacted - confidential]**.

¹¹⁷ **[Redacted - confidential]**.

¹¹⁸ **[Redacted - confidential]**.

¹¹⁹ **[Redacted - confidential]**.

¹²⁰ **[Redacted - confidential]**.

¹²¹ ACCC, [Transcript of Supermarkets Inquiry Hearing](#), 18 November 2025, p. 485.

- 6.30. Coles submits its pricing in Kalgoorlie **[Redacted - confidential]**.¹²²
- 6.31. The evidence before the ACCC is that Coles and Woolworths closely monitor each other's prices:
- Coles **[Redacted - confidential]**¹²³ **[Redacted - confidential]**.¹²⁴ **[Redacted - confidential]**,¹²⁵ with approximately **[Redacted - confidential]** SKU matches.¹²⁶ Woolworths **[Redacted - confidential]**.¹²⁷
 - **[Redacted - confidential]**,¹²⁸ and **[Redacted - confidential]** **[Redacted - confidential]** **[Redacted - confidential]**.¹²⁹ Coles **[Redacted - confidential]**.¹³⁰ **[Redacted - confidential]**.¹³¹
- 6.32. The ACCC understands that Coles (and considers this is also likely of Woolworths) set their prices **[Redacted - confidential]**. Coles has developed **[Redacted - confidential]**,¹³² **[Redacted - confidential]**,¹³³ **[Redacted - confidential]**.¹³⁴ Woolworths also **[Redacted - confidential]** **[Redacted - confidential]** **[Redacted - confidential]**.¹³⁵
- 6.33. Coles also monitors **[Redacted - confidential]**.¹³⁶ The ACCC also understands that Coles monitors **[Redacted - confidential]**.¹³⁷
- 6.34. Coles' General Manager - WA considers in Western Australia **[Redacted - confidential]**.¹³⁸

Independent full-line supermarkets

- 6.35. As independent full-line supermarkets, O'Connor Fresh IGA and Spudshed provide a differentiated offering to Coles and Woolworths that is valued by customers in Kalgoorlie. In doing so, they provide a material competitive constraint on Coles and Woolworths.
- 6.36. O'Connor Fresh IGA is an independent supermarket focused on its offering being tailored to local tastes. Its store was refurbished in October 2021 and is co-located with a Chemist Warehouse, a Liquor Barons store and a car wash. It is close to schools, a recreation centre and the Kalgoorlie-Boulder airport. As shown in Table 3

¹²² **[Redacted - confidential]**.

¹²³ **[Redacted - confidential]**.

¹²⁴ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

¹²⁵ **[Redacted - confidential]**.

¹²⁶ **[Redacted - confidential]**.

¹²⁷ **[Redacted - confidential]**.

¹²⁸ **[Redacted - confidential]**.

¹²⁹ **[Redacted - confidential]**.

¹³⁰ **[Redacted - confidential]**.

¹³¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

¹³² **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

¹³³ **[Redacted - confidential]**; **[Redacted - confidential]**.

¹³⁴ **[Redacted - confidential]**.

¹³⁵ **[Redacted - confidential]**.

¹³⁶ **[Redacted - confidential]**.

¹³⁷ For example, see: **[Redacted - confidential]**; **[Redacted - confidential]**.

¹³⁸ **[Redacted - confidential]**.

above, it has a smaller floor space than Coles and Woolworths but nevertheless offers a significant range of groceries for customers ([Redacted - confidential]).

- 6.37. O'Connor Fresh IGA makes pricing and ranging decisions [Redacted - confidential].¹³⁹ For example, it [Redacted - confidential].¹⁴⁰ It [Redacted - confidential].¹⁴¹ and in relation to those SKUs, [Redacted - confidential].¹⁴²
- 6.38. [Redacted - confidential].¹⁴³
- 6.39. O'Connor Fresh IGA's performance suggests [Redacted - confidential].¹⁴⁴
- 6.40. Spudshed is an independent supermarket operator, with 19 supermarkets throughout Western Australia. It opened its Kalgoorlie store in November 2025 in an established shopping centre with other small retailers, including a chemist. Spudshed took over the space formerly occupied by IGA Hannans Fresh, which in turn was occupied by Coles before that.¹⁴⁵
- 6.41. Spudshed sets prices [Redacted - confidential].¹⁴⁶ It focusses on fresh foods and is generally perceived to be a discounter, and is positioned strongly within the fresh and bulk-purchase segments.¹⁴⁷ [Redacted - confidential].¹⁴⁸
- 6.42. Information provided by Spudshed is that it [Redacted - confidential].¹⁴⁹
- 6.43. Information provided to the ACCC suggests O'Connor Fresh IGA and Spudshed are material competitors to Coles in Kalgoorlie. After O'Connor Fresh IGA refurbished its store in 2021, Coles measured a [Redacted - confidential] impact on its Coles Kalgoorlie store revenue as a result of that refurbishment.¹⁵⁰
- 6.44. Spudshed's opening in November 2025 [Redacted - confidential]. Coles documents show [Redacted - confidential].¹⁵¹, but that was anticipated to normalise to a lower level (reducing Coles Kalgoorlie's forecast sales by [Redacted - confidential]% each year to 2030).¹⁵²
- 6.45. The ACCC has analysed the extent to which O'Connor Fresh IGA and Spudshed compete with Coles' top selling products using estimated FY25 revenue. This analysis, illustrated in Figure 4, shows that [Redacted - confidential].

¹³⁹ [Redacted - confidential].

¹⁴⁰ [Redacted - confidential]; [Redacted - confidential].

¹⁴¹ [Redacted - confidential].

¹⁴² [Redacted - confidential].

¹⁴³ [Redacted - confidential]; [Redacted - confidential].

¹⁴⁴ [Redacted - confidential].

¹⁴⁵ Kalgoorlie Miner, 'Coles closing at Boulevard', 24 April 2021; Kalgoorlie Miner, 'IGA revives Hannans Centre', 8 October 2021; Kalgoorlie Miner, 'Exclusive report: Miner survey reveals how supermarket shopping has changed since Spudshed opened in town', 10 January 2026.

¹⁴⁶ [Redacted - confidential].

¹⁴⁷ [Redacted - confidential]; [Redacted - confidential].

¹⁴⁸ [Redacted - confidential].

¹⁴⁹ [Redacted - confidential].

¹⁵⁰ [Redacted - confidential].

¹⁵¹ [Redacted - confidential].

¹⁵² [Redacted - confidential]. See also, [Redacted - confidential].

6.46. This is consistent with [Redacted - confidential].¹⁵³ [Redacted - confidential].¹⁵⁴

¹⁵³ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

¹⁵⁴ [Redacted - confidential].

Figure 4 Revenues of Coles Kalgoorlie’s top 100 products and matching Woolworths Kalgoorlie, O’Connor Fresh IGA and Spudshed products¹⁵⁵

[Redacted - confidential]

¹⁵⁵ ACCC analysis of information provided by market participants: [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

Small-format independent supermarkets

- 6.47. Hannans FoodWorks is a smaller-format, convenience-oriented independent supermarket. Its estimated SFA is less than **[Redacted - confidential]**.¹⁵⁶
- 6.48. The evidence before the ACCC is that Hannans FoodWorks responded to Spudshed's entry by launching an online store and delivery service. Hannans FoodWorks bought a small, refrigerated utility vehicle that it uses to make deliveries. Hannans FoodWorks submitted that it will charge \$10 delivery fees, while Coles and Woolworths charge \$15.¹⁵⁷
- 6.49. IGA Lionel St is an independent supermarket with SFA less than **[Redacted - confidential]**.¹⁵⁸ The ACCC considers IGA Lionel St to be more aligned to a convenience offering for consumers (e.g., a top-up shop) such that it would be a limited constraint on full-line supermarkets.¹⁵⁹
- 6.50. Information provided by IGA Lionel St is that:
- **[Redacted - confidential]**.
 - It offers a 'Kiwi' range as a point of differentiation, sourced from the 'The Kiwi Shop' in Perth. This includes products such as mussels, tuna, biscuits, and relishes.
 - **[Redacted - confidential]**.
 - IGA Lionel St sources some cake, biscuit and flower products from 2 local suppliers in Kalgoorlie.
 - Given the relatively small size of IGA Lionel St, its store and its shelves are kept in a neat and tidy condition. In contrast, the shelves at Coles and Woolworths can be half empty.¹⁶⁰
- 6.51. Evidence provided by Coles' General Manager (WA) is that **[Redacted - confidential]**.¹⁶¹

Acquisition's likely impact on the continued operation of an effective competitor

Summary of assessment and conclusions

- 6.52. The likely impact of the Acquisition on **[Redacted - confidential]**'s (the **Relevant Independent**) ability to remain a competitive supermarket has been a critical factual inquiry in the ACCC's assessment of the Acquisition.

¹⁵⁶ Coles estimates the figure to be **[Redacted - confidential]**m² (see **[Redacted - confidential]**). In an RFI response, Hannans estimates it to be closer to **[Redacted - confidential]**m² (see **[Redacted - confidential]**). Both figures were estimates so the ACCC uses the figure **[Redacted - confidential]**.

¹⁵⁷ **[Redacted - confidential]**.

¹⁵⁸ **[Redacted - confidential]**.

¹⁵⁹ **[Redacted - confidential]**.

¹⁶⁰ **[Redacted - confidential]**.

¹⁶¹ **[Redacted - confidential]**.

- 6.53. The evidence before the ACCC is that the Relevant Independent will incur a substantial loss of sales to the Proposed Supermarket. There is likely to be a relatively immediate loss of the Relevant Independent's sales on the opening of the Proposed Supermarket and potentially increased losses in sales over time, as the Proposed Supermarket increases its revenue in line with its business case. The Relevant Independent can be expected to respond to a loss in sales by seeking to reduce variable costs and seeking to improve its competitive offer against Coles.
- 6.54. There is a dependency between Coles' business case for the Proposed Supermarket and the extent of sales lost by the Relevant Independent. The fewer sales the Proposed Supermarket wins from the Relevant Independent, the less profitable the business case. The more sales it wins from the Relevant Independent, the greater the potential impact on the viability of that store.
- 6.55. The extent of the Relevant Independent's loss of sales is uncertain, as is the materiality of that loss in sales to the financial viability of the Relevant Independent. However, it is at least the case that the loss in sales for the Relevant Independent will be sufficient to raise a material prospect that its current operations will not be viable.
- 6.56. The ACCC has also considered whether, if the current owners were unable to continue to operate the supermarket, another supermarket operator would take over the site; whether losses in sales at the Relevant Independent to the Proposed Supermarket could be offset through population growth and consequent increase in the level of supermarket sales; and whether the independent supermarket's exit is due to it being inefficient.
- 6.57. The ACCC has considered the evidence submitted by Coles on the question of the viability of the Relevant Independent's store and evidence on the conditions for population growth in Kalgoorlie. The ACCC has been assisted in this regard by the provision by Coles of expert reports from Mr Samuel and Mr Davis. The ACCC has also been assisted by analysis from FTI and McGrathNicol, and evidence and submissions from the Relevant Independent.
- 6.58. It is also important to note that the ultimate question before the ACCC is one of the likely effect of the acquisition on competition in the market, not simply the impact on a competitor. Nonetheless, the impact on competitors, whether that be raising barriers to entry and expansion, or leading to the diminution of competition because of the exit of a competitor, is a relevant consideration to the ultimate question.
- 6.59. The ACCC considers that there is a real and material risk, that is substantial and not speculative, that the Relevant Independent will exit as an independent supermarket competitor.

Financial viability of the Relevant Independent post-Acquisition

The impact on competitors' sales

- 6.60. The ACCC has considered the impact of the Proposed Supermarket on competitor sales, including the competitor likely to be most impacted, estimates of the reduction in competitor sales in Coles' business case for the Proposed Supermarket (**Business Case**) and a range of other estimates from sources.

- 6.61. The ACCC has taken into account the geographic location of competitor supermarkets and has been assisted by internal analysis and modelling that has been undertaken on Coles' Business Case, as well as various submissions, internal documents and information provided by Coles in relation to its Business Case, **[Redacted - confidential]**. The ACCC has also been assisted by Mr Samuel, an expert engaged by Coles to provide an opinion on his understanding of the financial analysis in the Business Case. Mr Samuel was also instructed to provide an opinion on the ACCC's internal analysis of the Business Case.
- 6.62. In addition, the ACCC has also considered a range of other estimates and information. This included information provided by Metcash, the Relevant Independent and other independent supermarkets, and two reports prepared by Geotech on customer travel patterns under various assumptions.
- 6.63. The evidence before the ACCC is that the Acquisition will have a material impact on Coles' competitors' sales. As the **[Redacted - confidential]** the Relevant Independent is expected to be impacted the most by the Acquisition (as a proportion of its sales), and the impact is likely to be substantial.
- 6.64. It is not possible to forecast with precision the actual revenue impact of the Proposed Supermarket on competitor sales. The ACCC has considered the likely range of outcomes, giving significant weight to the estimate of lost revenue drawing from Coles internal documents. However, the estimate in Coles Business Case **[Redacted - confidential]**.
- 6.65. The ACCC has considered a range of information that indicates that the impact of the Proposed Supermarket on the Relevant Independent's sales will be greater than estimated in the Coles Business Case for the first year of trading, with further increases in loss of sales in the second and third years of trading.
- 6.66. Noting the range of possible scenarios regarding revenue impact and the uncertainty as to the precise figure, the ACCC considers that the impact on the Relevant Independent's loss of sales is likely to be material such that there is a real prospect the Acquisition would result in the Relevant Independent **[Redacted - confidential]**.

Estimates from Coles' Business Case

- 6.67. Following the Acquisition, Coles intends to establish the Proposed Supermarket with an anticipated opening date of **[Redacted - confidential]**.¹⁶² An input to Coles' Business Case is an analysis that estimated where the Proposed Supermarket's revenue would come from (**Source of Sales Analysis**), including Coles' existing store and all other competitors' stores.¹⁶³
- 6.68. Coles estimated, in its Source of Sales Analysis, that the Proposed Supermarket is likely to reduce the Relevant Independent's revenue by **[Redacted - confidential]**% in its first trading year.¹⁶⁴
- 6.69. Having regard to available evidence, including Coles' internal documents, the ACCC considers that there is a real prospect the **[Redacted - confidential]** may

¹⁶² **[Redacted - confidential]**. **[Redacted - confidential]**.

¹⁶³ **[Redacted - confidential]**.

¹⁶⁴ **[Redacted - confidential]**.

underestimate the impact on the Relevant Independent's revenue for the Proposed Supermarket's first trading year for the following reasons.

- 6.70. The total of all revenue impacts on competitors stores is \$[Redacted - confidential] than the total revenue forecast for the Proposed Supermarket in the Business Case.¹⁶⁵ This means \$[Redacted - confidential] of the revenue forecast for the Proposed Supermarket does not have a corresponding reduction in competitor revenue.
- 6.71. The Business Case refers to the \$[Redacted - confidential] discrepancy between the Source of Sales analysis and the total revenue forecast for the Proposed Supermarket as 'latent' sales. Coles describes latent sales as the amount that would be spent by people at the Proposed Supermarket who would not otherwise spend that money at other supermarkets if the Proposed Supermarket did not eventuate.¹⁶⁶
- 6.72. Evidence from Coles is that it did not undertake analysis to determine the extent to which the Proposed Supermarket would generate 'latent' sales.¹⁶⁷ Mr Samuel's [Redacted - confidential]. [Redacted - confidential].¹⁶⁸
- 6.73. The concept of 'latent' sales, as applied by Coles in its Business Case, appears to be a balancing item between two forecasts: the total revenue forecast underlying the business case and the forecast of potential sales that can be gained from other stores. Coles' National Location Planning Manager stated that '[Redacted - confidential]'¹⁶⁹ In the absence of a clear explanation or evidence to support the reasonableness of the latent sales item in the Coles Business Case, the expected source of these sales remains unclear.
- 6.74. If the total revenue forecast for the Proposed Supermarket was relied on to estimate loss of competitor sales, and the additional \$[Redacted - confidential] in Coles' sales was allocated in proportion to other estimated loss of competitor sales, the impact on the Relevant Independent revenue for FY29 that would be a [Redacted - confidential].¹⁷⁰
- 6.75. Coles also had regard to the output of a Machine Learning Model in its Business Case to measure the impact the Proposed Supermarket would have on competitors' sales. The Machine Learning Model estimated that the Proposed Supermarket would take [Redacted - confidential]% of the Relevant Independent's revenue in its first trading year.¹⁷¹ Coles' National Location Planning Manager explained [Redacted - confidential].¹⁷²
- 6.76. The ACCC also considers there is a very real prospect that the [Redacted - confidential] estimate is likely to underestimate the impact on the Relevant Independent revenue for the Proposed Supermarket's second, third and future years.

¹⁶⁵ [Redacted - confidential].

¹⁶⁶ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

¹⁶⁷ [Redacted - confidential]; [Redacted - confidential].

¹⁶⁸ [Redacted - confidential] [Redacted - confidential].

¹⁶⁹ [Redacted - confidential].

¹⁷⁰ The \$[Redacted - confidential] latent revenue is distributed to the other supermarkets in Kalgoorlie in the same proportion as Coles' original forecast dollar impact.

¹⁷¹ [Redacted - confidential].

¹⁷² [Redacted - confidential].

- 6.77. Coles' National Location Planning Manager, who contributed to the preparation of the Business Case, confirmed to the ACCC that **[Redacted - confidential]**.¹⁷³ Coles' total revenue forecast for the Proposed Supermarket grows **[Redacted - confidential]**% in its second trading year (FY30) and **[Redacted - confidential]**% in its third trading year (FY31), in constant dollar terms.¹⁷⁴ The ACCC considers that the Proposed Supermarket's impact on the Relevant Independent's revenue would likely grow similarly.
- 6.78. The uncertainty of forecasts from where Coles will source its sales is also important to the question of whether the Proposed Supermarket makes economic sense for Coles. An analysis of the financial forecasts for the Proposed Supermarket and the Relevant Independent show an inverse relationship in revenue for the stores (all else the same). That is, if the forecast revenue for the Proposed Supermarket is higher, the forecast revenue for the Relevant Independent is lower.
- 6.79. This is a finely balanced situation, where it is unlikely that it can be the case that the Proposed Supermarket makes economic sense for Coles and that it also makes economic sense for the Relevant Independent's assets to remain in the market.
- 6.80. In the scenario where there is an **[Redacted - confidential]**% impact on the Relevant Independent and Coles generates \$**[Redacted - confidential]** latent sales, the Proposed Supermarket is expected to earn an incremental revenue and EBIT of \$**[Redacted - confidential]** and \$**[Redacted - confidential]**, respectively, in FY31.¹⁷⁵ If the Proposed Supermarket's revenue in **[REDACTED - CONFIDENTIAL]** were \$**[Redacted - confidential]**, which is **[Redacted - confidential]**% less than Coles' forecast, then Coles' incremental NPV for the Acquisition would be negative and the Relevant Independent's revenue impact would be reduced.¹⁷⁶
- 6.81. The forecasts for both the Proposed Supermarket and the impact on the Relevant Independent are also sensitive to the assumptions applied.

Market participant estimates and information

- 6.82. The ACCC also received additional information from market participants on the likely impact of the Proposed Supermarket on the stores in Kalgoorlie.
- 6.83. The ACCC notes that other estimates and information indicate the inherent uncertainty in assessing the potential sales impact of the Proposed Supermarket. However, it considers the additional information is broadly confirmatory of there being a material impact on competitor sales generally and consistent with the largest impact likely being on the Relevant Independent.
- 6.84. An independent supermarket in Kalgoorlie submitted that a reduction in sales volume arising from the Proposed Supermarket would also affect its business and its ability to compete. **[Redacted - confidential]**.¹⁷⁷

¹⁷³ **[Redacted - confidential]**.

¹⁷⁴ **[Redacted - confidential]**; **[Redacted - confidential]**.

¹⁷⁵ **[Redacted - confidential]**.

¹⁷⁶ If calculation issues in Coles' business case that the ACCC has identified in Attachment A are fixed, the Acquisition would have a negative NPV with a much smaller revenue reduction or could even have a negative NPV in any case.

¹⁷⁷ **[Redacted - confidential]**.

- 6.85. Another independent supermarket operator, **[Redacted - confidential]**.¹⁷⁸
- 6.86. The ACCC also considered an analysis of customer travel patterns using mobile phone data that was undertaken by Geotech. The report provided an indicative estimate that there would be a foot traffic reduction of around **[Redacted - confidential]** on the Relevant Independent.¹⁷⁹ **[Redacted - confidential]**.¹⁸⁰
- 6.87. The Relevant Independent commissioned a second report from Geotech to repeat the analysis with different assumptions, including taking into account the proposed floorspace of the Proposed Supermarket which was not available to Geotech at the time it prepared its first report.¹⁸¹ Based on the updated assumptions, Geotech determined that there would be **[Redacted - confidential]** from the Proposed Supermarket opening in Somerville.¹⁸²
- 6.88. The impact set out in the second Geotech report is consistent with the Proposed Supermarket having a significant impact on the Relevant Independent's revenue. It is also consistent with there being a very real prospect that the impact of the Coles new store on the Relevant Independent's revenue may be higher than the **[Redacted - confidential]**% estimated in Coles' Business Case for the Proposed Supermarket's first year of trading.

Financial forecast of Relevant Independent under potential revenue impact scenarios

- 6.89. To assist it in its consideration of the range of possible revenue impacts on the Relevant Independent, the ACCC engaged FTI to undertake various financial forecasts of the Relevant Independent's business and provide advice on its potential viability under different revenue impact scenarios (**the FTI Report**).
- 6.90. Without the Acquisition, FTI expects the Relevant Independent to earn \$**[Redacted - confidential]** revenue in FY31, generating \$**[Redacted - confidential]** of EBIT.¹⁸³
- 6.91. Given the above evidence and the uncertainty around the potential impact on the Relevant Independent, the ACCC instructed FTI to consider a range of potential first year impacts on the Relevant Independent's revenue (including the Coles Business Case estimate of **[Redacted - confidential]**%, as well as potential impacts both above and below **[Redacted - confidential]**%, and potentially increasing for the second and third trading years of the Proposed Supermarket).
- 6.92. The scenarios tested by FTI include:
- 10% revenue reduction in FY29, impacting all future years' revenue
 - 15% revenue reduction in FY29, impacting all future years' revenue
 - **[Redacted - confidential]**% revenue reduction in FY29, impacting all future years' revenue
 - **[Redacted - confidential]**% revenue reduction in FY29, impacting all future years' revenue

¹⁷⁸ **[Redacted - confidential]**.

¹⁷⁹ **[Redacted - confidential]**.

¹⁸⁰ **[Redacted - confidential]**.

¹⁸¹ **[Redacted - confidential]**.

¹⁸² **[Redacted - confidential]**.

¹⁸³ **[Redacted - confidential]**.

- **[Redacted - confidential]**% revenue reduction in FY29, impacting all future years' revenue
 - **[Redacted - confidential]**% revenue reduction in FY29, impacting all future years' revenue
 - 30% revenue reduction in FY29, impacting all future years' revenue, and
 - **[Redacted - confidential]**.
- 6.93. The scenarios impacting revenue by **[Redacted - confidential]** are given less weight as the evidence suggests they are less likely to eventuate. The scenario where the future impacts on the Relevant Independent's revenue **[Redacted - confidential]**, reflects that the impact might grow in the second and third year of the Proposed Supermarket's trading in line with the forecast revenue in Coles' Business Case.
- 6.94. The FTI Report also assumes the Relevant Independent would be in a position to reduce its cost of goods sold and some of its expenses, to mitigate losses.¹⁸⁴ **[Redacted - confidential]**¹⁸⁵ **[Redacted - confidential]**. **[Redacted - confidential]**.¹⁸⁶ The ACCC accepts that the Relevant Independent would likely reduce its costs post-Acquisition and therefore places more weight on the scenarios with variable expenses applied.
- 6.95. In all scenarios where the impact is 10% or greater, the FTI Report forecasts that the Relevant Independent **[Redacted - confidential]**.¹⁸⁷
- 6.96. The ACCC provided the FTI Report to Coles for consideration. Coles engaged Mr Samuel of Sapere to provide his opinion on the FTI Report and the reasonableness of the conclusions contained in it. Coles also engaged Mr Davis of Frontier Economics to provide his opinion on the FTI Report and in particular provide his opinion on whether any aspects of the FTI report cause him to alter his opinion and conclusions as set out in the First Davis Report.

Sensitivity of forecasts to inputs

- 6.97. In considering forecasts prepared by experts it is important to understand the basis for, and the reasonableness of, the assumptions relied upon. The reports of Mr Samuel and Mr Davis have assisted the ACCC in this regard. Across Mr Samuel, Mr Davis and FTI, there are differing opinions about the Relevant Independent's potential to reduce its costs to mitigate losses. The reports, together with submissions from Coles and third parties, have enabled the ACCC to interrogate the assumptions underlying the FTI Report, with the discussion on this set out below.
- 6.98. Based on the evidence before it, the ACCC considers the assumptions set out in the FTI Report to be reasonable and appropriate.
- 6.99. While the ACCC considers it has been important to assess the various assumptions that underpin the FTI Report, the ACCC notes that none of the experts engaged by Coles suggests **[Redacted - confidential]**. Mr Davis in the Second Davis Report agrees that the 'FTI report can inform whether the current owners/operators may exit

¹⁸⁴ **[Redacted - confidential]**.

¹⁸⁵ **[Redacted - confidential]**.

¹⁸⁶ **[Redacted - confidential]**.

¹⁸⁷ **[Redacted - confidential]**.

(or need to adopt alternative strategies to survive).¹⁸⁸ In his report, Mr Samuel states that '[Redacted - confidential]'.¹⁸⁹

Employee and store costs

6.100. The FTI Report forecast is based on an assessment of whether employee and store cost items can be reduced by the Relevant Independent to offset the revenue reduction caused by the Acquisition.¹⁹⁰ It is assumed that [Redacted - confidential]% of employee costs are variable and [Redacted - confidential]% of store expenses are variable. The FTI Report also considers a scenario where only [Redacted - confidential]% of store expenses are variable.¹⁹¹

6.101. The Second Samuel Report [Redacted - confidential].¹⁹²

6.102. The Relevant Independent submits [Redacted - confidential].¹⁹³

6.103. The First Davis Report proposes adopting an assumption that [Redacted - confidential]% of employee costs are variable and [Redacted - confidential]% of sales are variable store expenses, consistent with the assumptions in Coles business case.¹⁹⁴ The ACCC recognises these assumptions may also be reasonable, however the ACCC does not consider Mr Davis' [Redacted - confidential] is likely to make a material difference to the results of the FTI analysis.

6.104. The First Davis Report also refers to a statistical regression of sales and employee costs across Coles' stores that estimates that [Redacted - confidential]% of employee costs are variable (or [Redacted - confidential]% with a stratified sample of Coles' stores).¹⁹⁵

6.105. The ACCC has placed little weight on this regression analysis as it does not account for any other difference between Coles' stores that might affect the variability of cost, nor test for any statistical issues that might arise in estimating Coles' cost function. Even if the regression accurately measures variable costs for Coles' stores, the Relevant Independent is likely to have a different cost structure to Coles and likely a different relationship between employee costs and sales such that applying [Redacted - confidential]% or [Redacted - confidential]% of employee costs as variable would likely lead to a materially inaccurate forecast for the Relevant Independent.

Capital expenditure

6.106. The ACCC considered the different approaches to forecasting the Relevant Independent's capital expenditure between the FTI Report and the Second Samuel Report.

¹⁸⁸ [Redacted - confidential].

¹⁸⁹ [Redacted - confidential]

¹⁹⁰ [Redacted - confidential].

¹⁹¹ [Redacted - confidential].

¹⁹² [Redacted - confidential].

¹⁹³ [Redacted - confidential].

¹⁹⁴ [Redacted - confidential]. If this ratio is applied to the Relevant Independent's 2025 revenue and store expenses, [Redacted - confidential]% of store expenses would be variable ($([Redacted - confidential]\% \times \$[Redacted - confidential]) / \$[Redacted - confidential]$); [Redacted - confidential].

¹⁹⁵ [Redacted - confidential].

- 6.107. The FTI Report's forecast for capex is **[Redacted - confidential]** per annum, which results in the Relevant Independent's **[\$[Redacted - confidential]]** nominal value of plant and equipment assets being maintained over time. This is consistent with the broader assumption that the Relevant Independent will need to renew its store periodically.
- 6.108. The Second Samuel Report **[Redacted - confidential]**.¹⁹⁶
- 6.109. Accordingly, the Second Samuel Report **[Redacted - confidential]**.¹⁹⁷
- 6.110. The ACCC considers the Second Samuel Report's proposed **[Redacted - confidential]**:
- It does not appear to consider the future need for store capital renewal. **[Redacted - confidential]**.¹⁹⁸ Evidence before the ACCC suggests that the Relevant Independent **[Redacted - confidential]**.¹⁹⁹ Additionally, the First Davis Report suggests competitors might react to the Proposed Supermarket with new store investment.²⁰⁰
 - The cost of store capital renewal can be substantial. Coles anticipated it would spend an average of **[\$[Redacted - confidential]]** reinvesting in **[Redacted - confidential]** existing stores during FY25,²⁰¹ with similar amounts recorded in previous years.²⁰²
- 6.111. Considering Coles' business case for the Proposed Supermarket, the upfront capex is equal to **[Redacted - confidential]**% of the sum of sales over the ten-year modelling period,²⁰³ higher than the **[Redacted - confidential]**% proposed in the Second Samuel Report. Dividing Coles' average **[\$[Redacted - confidential]]** renewal cost by the sum of sales for the Proposed Supermarket indicates a **[Redacted - confidential]**% capex to sales ratio.
- 6.112. Further, it is not clear from the Second Samuel Report whether **[Redacted - confidential]**.²⁰⁴ **[Redacted - confidential]**.
- 6.113. The ACCC considers the FTI Report's capex forecast of **[\$[Redacted - confidential]]** per annum, equal to the annual rate of depreciation of capital, would be sufficient to replace the value of the Relevant Independent's **[\$[Redacted - confidential]]** of plant and equipment assets over the modelling period, which is from FY29 to perpetuity. This approach assumes the Relevant Independent would reinvest in capex to the same extent that it has invested in the past to on average maintain the value of its assets. This is broadly consistent with Coles' store renewal practices.

¹⁹⁶ **[Redacted - confidential]**.

¹⁹⁷ **[Redacted - confidential]**.

¹⁹⁸ **[Redacted - confidential]**.

¹⁹⁹ **[Redacted - confidential]**.

²⁰⁰ **[Redacted - confidential]**.

²⁰¹ **[Redacted - confidential]**.

²⁰² **[Redacted - confidential]**.

²⁰³ **[Redacted - confidential]**.

²⁰⁴ For example, the Relevant Independent might incur capex for an accounting system, but capex associated with Coles' accounting systems might be attributed to another subsidiary and not the Kalgoorlie supermarket.

- 6.114. The ACCC accepts that, in the future with the Acquisition, the Relevant Independent could reduce its capital expenditure in the short term to the levels proposed in the Second Samuel Report. This might delay its exit.
- 6.115. However, at some stage, it is likely that the Relevant Independent will need to increase its capex to renew and refurbish its store. The capex forecast in the FTI Report assumes that the renewal cost is spread out over time, but because capex is a component of discounted cash flows, this is equivalent to assuming the renewal costs are incurred at one point in the future.
- 6.116. In considering whether the Relevant Independent will remain in the market and continue to competitively constrain its rivals, the ACCC considers it is reasonable to include a capex forecast that will allow it to renew and replace its capital from time to time. As discussed above, **[Redacted - confidential]**.²⁰⁵

Lease costs

- 6.117. Coles submits that one of the mitigants that the Relevant Independent may be able to make in response to a reduction in revenue is to renegotiate its lease and reduce its occupancy costs.²⁰⁶
- 6.118. In its analysis, FTI forecasts the Relevant Independent's lease costs for its supermarket to be **[\$[Redacted - confidential]]**.²⁰⁷ The Second Samuel Report **[Redacted - confidential]**. The Relevant Independent's GLA in its lease agreement is identified as **[Redacted - confidential]**m², indicating a lease cost of **[\$[Redacted - confidential]]/m²** per annum.²⁰⁸
- 6.119. The lease cost forecast by FTI appears to **[Redacted - confidential]** market rates. Coles' lease cost for the Proposed Supermarket and adjacent liquor store is **[\$[Redacted - confidential]]/m²**, and Coles analogue stores have a lease cost ranging from **[\$[Redacted - confidential]]/m²** to **[\$[Redacted - confidential]]/m²**.²⁰⁹ Coles also provided the ACCC with a summary of lease costs for stores in other regional towns, ranging from **[\$[Redacted - confidential]]/m²** to **[\$[Redacted - confidential]]/m²**.²¹⁰ Coles provided another list of lease costs for select supermarkets, one of which was **[\$[Redacted - confidential]]/m²**, with the other four ranged from **[\$[Redacted - confidential]]/m²** to **[\$[Redacted - confidential]]/m²**.²¹¹
- 6.120. The Relevant Independent submits that FTI's forecast of lease costs is too low, **[Redacted - confidential]**.²¹²
- 6.121. The ACCC considers it is reasonable to assume that the lessors of the site leased to the Relevant Independent will charge a rent that reflects market rates in the future, recognising that the Relevant Independent and the lessor are related parties.²¹³

²⁰⁵ **[Redacted - confidential]**.

²⁰⁶ **[Redacted - confidential]**.

²⁰⁷ **[Redacted - confidential]**.

²⁰⁸ **[Redacted - confidential]**.

²⁰⁹ **[Redacted - confidential]**.

²¹⁰ **[Redacted - confidential]**.

²¹¹ **[Redacted - confidential]**.

²¹² **[Redacted - confidential]**.

²¹³ **[Redacted - confidential]**.

6.122. It is not possible to predict with any certainty the extent of the Relevant Independent's loss in sales. Having regard to the sensitivity of the analysis to inputs, the ACCC considers that the FTI Report's estimate of the net present value of future cashflows for the Relevant Independent **[Redacted - confidential]** in the future with the Acquisition where:

- the Relevant Independent's forecast rent costs **[Redacted - confidential]**; and
- the Relevant Independent's forecast capex each year was any higher than the midpoint between FTI's estimate and the estimate in the Second Samuel Report.²¹⁴

Options for the Relevant Independent

6.123. In considering the financial viability of the Relevant Independent under its current ownership, the ACCC has also considered the range of options that may be available to the current owners given the likely impact on their revenue and **[Redacted - confidential]** as outlined above. This includes consideration of whether the Relevant Independent may be able to:

- seek **[Redacted - confidential]**;
- receive an equity injection **[Redacted - confidential]**; and/or
- seek rent relief.

6.124. The ACCC has been assisted by Coles' submissions as well as the FTI Report in considering what options may be available to the Relevant Independent. Mr Samuel **[Redacted - confidential]**.²¹⁵

6.125. Coles submits **[Redacted - confidential]**.²¹⁶ Coles submits it has **[Redacted - confidential]**.²¹⁷ By contrast, information sought from Metcash identified 3 examples of an IGA exiting a market following the entry of a new Coles or Woolworths.²¹⁸

6.126. For the purposes of assessing this Acquisition, the ACCC has focused its consideration of these options in relation to the Relevant Independent's particular circumstances.

6.127. The FTI Report outlines that **[Redacted - confidential]**.²¹⁹ However, Ms Wright states **[Redacted - confidential]**.²²⁰

6.128. As this would be temporary financial relief, and the revenue impact will continue as long as the Proposed Supermarket is operating, the ACCC considers these options are unlikely to resolve the fundamental issue of **[Redacted - confidential]**.

6.129. The ACCC has also considered the possibility of the Relevant Independent raising equity from another entity to assist with alleviating financial pressure from the

²¹⁴ Assuming an 18% revenue impact to the Relevant Independent. On scenarios with a higher impact the net present value of future cashflows would be lower.

²¹⁵ **[Redacted - confidential]**.**[Redacted - confidential]**

²¹⁶ **[Redacted - confidential]**.

²¹⁷ **[Redacted - confidential]**.

²¹⁸ **[Redacted - confidential]**.

²¹⁹ **[Redacted - confidential]**.

²²⁰ **[Redacted - confidential]**.

impact of the Proposed Supermarket by supporting its day-to-day operations and **[Redacted - confidential]**.

6.130. Coles submits that **[Redacted - confidential]**.²²¹

6.131. The FTI Report **[Redacted - confidential]**.²²²

6.132. The Relevant Independent also submits **[Redacted - confidential]**.²²³

6.133. It further submits **[Redacted - confidential]**.²²⁴

6.134. A **[Redacted - confidential]**.²²⁵ The **[Redacted - confidential]**.²²⁶ On this basis, the ACCC considers that it is unlikely **[Redacted - confidential]**.

6.135. Coles, in its submissions, and the FTI Report both note that it appears **[Redacted - confidential]**.²²⁷

6.136. Based on the evidence above, there is a real possibility that if the lessor cannot **[Redacted - confidential]**. In any event, while it is unclear if rent relief could be provided without the rent falling below market rates, the ACCC does not consider such relief is likely to be sufficiently material to alter the long-term viability of the Relevant Independent under its current ownership.

6.137. There is significant uncertainty regarding what options may reasonably be available to the Relevant Independent, the extent to which any option is likely to alleviate the financial impact of the Acquisition and for how long.

6.138. While the ACCC accepts there is a possibility that the Relevant Independent may **[Redacted - confidential]**.

Likely future use of the Relevant Independent's assets

6.139. In considering the Acquisition's likely impact on the continued operation of an effective competitor, the inquiry does not end with considering the potential impact on the current operator. The ACCC has also considered whether, in the event of a sale, the Relevant Independent's assets would continue to be used in the market.

Relevance of considering the potential future uses of the assets

6.140. It is important to continue to consider the likely future use of the Relevant Independent's assets in circumstances where the Relevant Independent is unlikely to be financially viable under current ownership. Mr Davis, engaged by Coles, also considers this is a relevant consideration, stating the importance of considering the extent to which the underlying supermarket assets are likely to remain in use.²²⁸

²²¹ **[Redacted - confidential]**.

²²² **[Redacted - confidential]**.

²²³ **[Redacted - confidential]**.

²²⁴ **[Redacted - confidential]**.

²²⁵ **[Redacted - confidential]**.

²²⁶ **[Redacted - confidential]**.

²²⁷ **[Redacted - confidential]**; **[Redacted - confidential]**.

²²⁸ **[Redacted - confidential]**.

- 6.141. FTI undertook a financial analysis that included, but was not limited to, the current owners **[Redacted - confidential]**. As part of the FTI's consideration of the viability of the Relevant Independent, it also **[Redacted - confidential]**.²²⁹
- 6.142. The ACCC has taken the FTI Report analysis into account in considering the options for the business to continue under separate ownership with different levels of debt and the possible sale of the assets to an alternative supermarket operator (further discussion set out below).
- 6.143. Mr Davis states, and the ACCC agrees, that the FTI Report is one relevant input into the consideration. Mr Davis states the FTI report **[Redacted - confidential]**.²³⁰
- 6.144. The ACCC does not consider that the FTI Report, or any other report on issues of this kind, is able to predict the future. There are inherent uncertainties in analyses involving forecasts and a range of possible outcomes may be likely – the spectrum of potential outcomes set out in the FTI Report demonstrates this.
- 6.145. However, the ACCC considers that the FTI Report has been prepared with appropriate care and diligence and is a useful input to the ACCC's assessment. It has also been of assistance to the ACCC to have Mr Samuel and Mr Davis engage with the matters set out in the FTI report to interrogate the relevant issues and provide their views.
- 6.146. In this respect, both the Second Samuel Report and the Second Davis Report raise concerns with the FTI Report. Mr Samuel states **[Redacted - confidential]**.²³¹
- 6.147. The Second Davis Report also states that the conclusions in the FTI report are of limited relevance to the ACCC's assessment as FTI's valuation focuses on the financial position and actual debt of the current operator and does not, as already mentioned above, focus on assessing if the underlying business assets are likely to remain in use.²³²
- 6.148. The ACCC has considered the concerns raised by Mr Samuel and Mr Davis in relation to the FTI Report. It considers that in analysing the financial viability of the business, it was not unreasonable for FTI to undertake a financial analysis that included, but was not limited to, the current owners **[Redacted - confidential]**. This is the current circumstance of the Relevant Independent, and forms part of the matrix of factual matters that are relevant in assessing the likely impact of the Proposed Supermarket.
- 6.149. Fundamentally, however, the ACCC agrees with Mr Davis, that the inquiry ought to not conclude at this point, and that further consideration of the potential future use of the assets is important. The ACCC's consideration of this issue is set out below.

Potential outcomes for the Relevant Independent's business and assets

- 6.150. In circumstances where the current ownership will not be financially viable under the **[Redacted - confidential]** in the future in which the Proposed Supermarket is built and commences operations, the ACCC has considered the range of possible options available to the current owners of the Relevant Independent, which include the sale of

²²⁹ See, for example, the 'Enterprise Value' in **[Redacted - confidential]**.

²³⁰ **[Redacted - confidential]**.

²³¹ **[Redacted - confidential]**.

²³² **[Redacted - confidential]**.

the business outside of insolvency, or in the case of insolvency, a sale process or liquidation scenario.

- 6.151. Coles submits that even if exit were to occur due to insolvency, the assets of the Relevant Independent would be sold, facilitating new supermarket entry and expansion in Kalgoorlie.²³³ This is on the basis that there is sufficient demand to underpin additional entry and/or expansion.²³⁴
- 6.152. While there is a range of potential scenarios, based on the evidence before it, **[Redacted - confidential]**.²³⁵
- 6.153. The ACCC was assisted in its consideration of this issue by McGrathNicol, who prepared a memorandum stepping through the various considerations and options:
- In relation to the prospects of a sale of the business outside of insolvency, McGrathNicol advised the ACCC that **[Redacted - confidential]**.²³⁶
 - In the case of insolvency and the appointment of a Voluntary Administrator, McGrathNicol advised **[Redacted - confidential]**.²³⁷ McGrathNicol also identified **[Redacted - confidential]**.²³⁸
- 6.154. The ACCC notes that **[Redacted - confidential]**.²³⁹ **[Redacted - confidential]**.²⁴⁰ **[Redacted - confidential]**.²⁴¹ **[Redacted - confidential]**.²⁴² **[Redacted - confidential]**. In considering whether the business could be sold as a going concern, the ACCC has considered all the scenarios set out in the FTI Report, including where those assets can be sold for a price of zero (and with zero debt).
- 6.155. In considering whether there may be a willing and able buyer, the ACCC has considered whether another independent supermarket operator may be likely to acquire the Relevant Independent as a going concern.
- 6.156. **[Redacted - confidential]**.²⁴³ **[Redacted - confidential]**.²⁴⁴
- 6.157. The ACCC notes **[Redacted - confidential]**. For example, **[Redacted - confidential]**.²⁴⁵
- 6.158. While the ACCC is aware that there may be other independent supermarket operators that have the capability to operate a successfully supermarket in Kalgoorlie, given the circumstances of the current exit (including the Proposed Supermarket's recent entry and including the ACCC's assessment on the likelihood of new entry set out below), the ACCC considers the prospect of this occurring through an acquisition of the Relevant Independent's business **[Redacted - confidential]**.

²³³ **[Redacted - confidential]**.

²³⁴ **[Redacted - confidential]**.

²³⁵ **[Redacted - confidential]**.

²³⁶ **[Redacted - confidential]**.

²³⁷ **[Redacted - confidential]**.

²³⁸ **[Redacted - confidential]**.

²³⁹ **[Redacted - confidential]**.

²⁴⁰ **[Redacted - confidential]**.

²⁴¹ **[Redacted - confidential]**.

²⁴² **[Redacted - confidential]**.

²⁴³ **[Redacted - confidential]**.

²⁴⁴ **[Redacted - confidential]**.

²⁴⁵ **[Redacted - confidential]**.

6.159. When the various options and trade-offs a Voluntary Administrator would have to consider, as set out in the McGrathNicol memorandum, are taken into account, the prospect of a sale of the Relevant Independent as a going concern **[Redacted - confidential]**. For example, the ACCC considers that while the **[Redacted - confidential]**²⁴⁶ **[Redacted - confidential]**.²⁴⁷

6.160. On the basis of the evidence before it, the ACCC considers that **[Redacted - confidential]**.

Additional considerations

6.161. In assessing the factual matters set out above, the ACCC has considered a number of submissions and various evidence provided by Coles on the following issues:

- oversupply of supermarket capacity
- anticipated local market growth; and
- exit due to inefficiency.

Oversupply of supermarket capacity

6.162. As part of its assessment, the ACCC considered the extent to which the Kalgoorlie is likely to suffer from oversupply, and whether that may have implications for its assessment.

6.163. In the Notice of Competition Concerns, the ACCC put forward the preliminary view that the Acquisition is likely to lead to an oversupply of supermarket capacity in Kalgoorlie, leading to the exit of an effective independent supermarket competitor. For the purposes of the NOCC, the ACCC estimated the number of supermarkets in Kalgoorlie per 10,000 population and compared this to selected regional towns as an indicator of whether Kalgoorlie may be oversupplied by supermarkets.

6.164. The ACCC's preliminary analysis suggested **[Redacted - confidential]**.²⁴⁸ Coles submits **[Redacted - confidential]**.²⁴⁹

6.165. Internal Coles documents suggest **[Redacted - confidential]**.²⁵⁰ **[Redacted - confidential]**.²⁵¹ Relevantly, **[Redacted - confidential]**.

6.166. There are many possible ways to benchmark supermarket prevalence and capacity in regional towns. The ACCC has taken into account Coles' view and not relied on benchmarking analysis as evidence of oversupply in Kalgoorlie in considering the likelihood of exit of the Relevant Independent caused by the Proposed Supermarket.

Anticipated local market growth

6.167. The ACCC has also had regard to the likely revenue growth for the market in Kalgoorlie.

²⁴⁶ **[Redacted - confidential]**.

²⁴⁷ **[Redacted - confidential]**.

²⁴⁸ **[Redacted - confidential]**.

²⁴⁹ **[Redacted - confidential]**.

²⁵⁰ **[Redacted - confidential]**.

²⁵¹ **[Redacted - confidential]**.

6.168. Coles submits **[Redacted - confidential]**.²⁵²

6.169. Based on the evidence set out below, the ACCC considers that future growth in Kalgoorlie is likely to remain low and would be insufficient to allow the Relevant Independent to recover from the impact of the Proposed Supermarket after the Proposed Supermarket begins trading.

6.170. Coles' business case for the Proposed Supermarket **[Redacted - confidential]**.²⁵³ The following factors contribute to Coles' growth forecast:

- **[Redacted - confidential]**.²⁵⁴
- **[Redacted - confidential]**.²⁵⁵
- **[Redacted - confidential]**.²⁵⁶
- **[Redacted - confidential]**.²⁵⁷

6.171. FTI forecasts nominal sales growth of 1.9% per annum, **[Redacted - confidential]**.²⁵⁸

6.172. Coles provided examples of new housing developments, Kalgoorlie Council ambitions for future growth, and growth in passenger numbers passing through Kalgoorlie Airport.

6.173. The ACCC does not have sufficient evidence before it to adopt a higher growth rate than **[Redacted - confidential]**. The **[Redacted - confidential]**.

6.174. The Government of Western Australia forecasts that the population of the City of Kalgoorlie-Boulder LGA will have an average annual growth rate of 0.4%, and its population will increase from 30,670 in 2021 to 32,750 in 2036.²⁵⁹ ABS census data shows that the population in Kalgoorlie has increased from 28,000 in the 2006 census to 29,000 in the 2021 census, which equates to an average growth rate of 0.2% per annum.²⁶⁰

6.175. In assessing its entry into Kalgoorlie, Spudshed **[Redacted - confidential]**.²⁶¹ Spudshed submits: '**[Redacted - confidential]**'.²⁶²

6.176. While new housing development may be occurring in Kalgoorlie, new houses being added to the housing stock does not necessarily indicate growth in population. New

²⁵² **[Redacted - confidential]**.

²⁵³ **[Redacted - confidential]**.

²⁵⁴ **[Redacted - confidential]**.

²⁵⁵ **[Redacted - confidential]**.

²⁵⁶ **[Redacted - confidential]**.

²⁵⁷ **[Redacted - confidential]**.

²⁵⁸ **[Redacted - confidential]**.

²⁵⁹ Government of WA, Western Australia Tomorrow 12 Population Forecasts, updated 4 February 2025, <https://www.wa.gov.au/organisation/departments-of-planning-lands-and-heritage/western-australia-tomorrow-12-population-forecasts>

²⁶⁰ ABS, Kalgoorlie-Boulder, Census All persons QuickStats, <https://www.abs.gov.au/census/find-census-data/quickstats/2006/UCL512400>.

²⁶¹ **[Redacted - confidential]**.

²⁶² **[Redacted - confidential]**.

houses might be relieving a housing shortage, and older houses may be exiting the housing stock.²⁶³

Exit due to inefficiency

- 6.177. The ACCC has also considered submissions from Coles in relation to the efficiency of the Relevant Independent.
- 6.178. Coles submits that '[Redacted - confidential].' Mr Davis, engaged by Coles, also states: '[Redacted - confidential]'.²⁶⁴
- 6.179. The competitive process can be a difficult environment for inefficient firms, and the displacement of inefficient firms by their more efficient rivals drives consumer benefits. The ACCC has considered the opinion provided by Mr Davis' and Coles' submissions on this issue, and for the reasons set out below, considers that taking into account all of the relevant circumstances, it cannot be assumed that the exit of the Relevant Independent would be caused by inefficiency.
- 6.180. The Relevant Independent generates substantial revenue (see Table 3), demonstrating its offer is attractive to Kalgoorlie shoppers, and is expected to continue to generate revenue in the future without the Acquisition.²⁶⁵ The Relevant Independent's success and sustainability occurs in an already-competitive environment, facing competition from other existing competitors.²⁶⁶
- 6.181. While it is challenging to compare costs and profitability of differentiated rivals, the ACCC considers the evidence does not support a finding that the Relevant Independent is inherently inefficient.
- 6.182. The Relevant Independent is able to source, distribute and transport its products ready for sale at its Kalgoorlie store at an Operating Gross Profit Margin of [Redacted - confidential]%,²⁶⁷ [Redacted - confidential] at [Redacted - confidential]%.²⁶⁸ The Relevant Independent's [Redacted - confidential]²⁶⁹ is lower than the Proposed Supermarket's [Redacted - confidential]. However, this ignores the cannibalisation of Coles' existing sales, and its [Redacted - confidential].²⁷⁰ While the Relevant Independent has high [Redacted - confidential], Coles has high [Redacted - confidential].²⁷¹
- 6.183. These differences are likely to reflect that Coles and the Relevant Independent compete by differentiating themselves from one another, which means margins are not a good indicator of relative efficiency. For example, [Redacted - confidential], the Relevant Independent could be more efficient than Coles at providing customers with [Redacted - confidential].

²⁶³ See, for example, Parliamentary Research Program, *The Housing and Rental, Crisis in Kalgoorlie - exploration of housing issues in a regional Australian Town*, Jilian Bardos, [https://www.parliament.wa.gov.au/publications/tabledpapers.nsf/displaypaper/4113888caac6b8cc8a74310248258be30019dd52/\\$file/tp-3888.pdf](https://www.parliament.wa.gov.au/publications/tabledpapers.nsf/displaypaper/4113888caac6b8cc8a74310248258be30019dd52/$file/tp-3888.pdf), accessed 28 June 2026.

²⁶⁴ [Redacted - confidential].

²⁶⁵ [Redacted - confidential].

²⁶⁶ [Redacted - confidential].

²⁶⁷ [Redacted - confidential].

²⁶⁸ [Redacted - confidential].

²⁶⁹ [Redacted - confidential]; [Redacted - confidential].

²⁷⁰ [Redacted - confidential].

²⁷¹ [Redacted - confidential]; [Redacted - confidential].

6.184. While the Relevant Independent **[Redacted - confidential]**.²⁷² Further, **[Redacted - confidential]**.²⁷³ As such, the ACCC does not consider it likely that the Relevant Independent, and in particular its assets, would exit in the future without the Acquisition.

Whether entry and exit reflect ‘competition on the merits’

6.185. The ACCC has carefully considered what effect the entry of the Proposed Supermarket and consequent exit of the Relevant Independent has on the competitive process.

6.186. Coles submits, and Mr Davis states, that the entry and exit of firms, if it occurs, reflects competition on the merits whereby more efficient firms displace the less efficient and should therefore be permitted to proceed. For example *[emphasis added]*:

- Coles submits that: ‘...if any exit or diminution of [the Relevant Independent] were to occur, this reflects **competition on its merits** rather than a substantial lessening of competition.’²⁷⁴
- Coles submits that the ACCC’s decision would be a dangerous precedent if: ‘...a business cannot invest in new capacity in circumstances where this may result in a **less efficient** or less effective rival being “**outcompeted**” on its merits...’²⁷⁵
- In the Second Frontier Report, Mr Davis states: ‘It is important to understand why an acquisition may lead to exit, because the causes of exit bear directly on whether the **competitive process is functioning properly**, including whether efficient firms are able to expand and displace **less efficient firms**.’²⁷⁶
- In the First Frontier Report, Mr Davis states that: ‘Absent exclusionary conduct or barriers deliberately erected to deter rivals, expansion reflects **competition on the merits**: firms investing, improving their offer, and competing to attract customers.’²⁷⁷
- In the First Frontier Report, Mr Davis states that: ‘The mere loss of scale by a rival, or the achievement of scale by an acquiring firm, does not in itself constitute competitive harm. A loss-of-scale theory of harm requires evidence that the reduction in scale is attributable to – in this case – acquisitions that materially impair rivals’ ability to **compete on the merits**, rather than to consumers switching in response to superior offers.’²⁷⁸
- In the Second Frontier Report, Mr Davis also provides the following view: ‘Where the acquisition appears commercially rational even without induced exit, that is, in my view, an indicator that the strategy is more likely to reflect **the normal competitive process**. In that process, firms respond to profit incentives and

²⁷² **[Redacted - confidential]**.

²⁷³ **[Redacted - confidential]**.

²⁷⁴ **[Redacted - confidential]**.

²⁷⁵ **[Redacted - confidential]**.

²⁷⁶ **[Redacted - confidential]**.

²⁷⁷ **[Redacted - confidential]**.

²⁷⁸ **[Redacted - confidential]**.

outcomes are driven by relative efficiency and the ability to meet consumer preferences on price and non-price dimensions.²⁷⁹

- 6.187. In considering these issues, the ACCC has also been assisted by reports prepared by an expert engaged by the ACCC, Professor Patrick Rey (Professor of Economics of the Toulouse School of Economics at the University of Toulouse) and an expert engaged by Coles, Dr Mike Walker (Frontier Economics (UK)).

Competition on the merits

- 6.188. The term ‘competition on the merits’ can have different meanings depending on its use.
- 6.189. Sometimes it can refer to a situation where one firm may gain a competitive advantage because it is perceived by customers as being better than another firm. Consumers will choose which stores to shop at based on their preferences, but these decisions might not fully take into account the longer-term consequences of those decisions. Collectively, consumers’ decisions as to which stores to shop at might not account for the probability that those decisions could lead to the exit of a store less frequented, and the loss of an option to shop there in the future.
- 6.190. Prof. Patrick Rey noted that it might be possible in theory for consumers to collectively bias their purchasing decisions in favour of independent retailers to prevent their exit and avoid the harm to them.²⁸⁰ However, Prof. Patrick Rey recognises in practice consumers may fail to anticipate that entry could trigger exit, and they might not anticipate the need to act collectively to prevent that. If a portion of consumers do not have that foresight or free-ride on the support provided by other consumers, then those that bias their purchasing decisions to prevent exit would bear a greater burden of support, potentially to the extent that it may become too costly for them.²⁸¹
- 6.191. ‘Competition on the merits’ is also used more broadly as a way to distinguish conduct within a competitive process that enhances competition, even where that may result in harm to competitors, from conduct that is harmful to competition.
- 6.192. The distinction is important to keep in mind. It is not the harm to a competitor that is relevant, but to competition. Nonetheless, simply categorising the Acquisition as ‘competition on the merits’ does not remove the requirement for the ACCC to consider whether overall the effect is likely to substantially lessening competition or not.
- 6.193. The characteristics of the competitive processes in different markets can be such that a firm’s interaction within the competitive process in one market (say through investment in new capacity that displaces other competitors) may have the effect of substantially lessening competition, while that conduct in another market may not.
- 6.194. It is necessary to consider the facts and circumstances pertaining to the Acquisition and the competitive processes in the market which the Acquisition is intended to

²⁷⁹ [Redacted - confidential].

²⁸⁰ ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, p. 7, 01068.001.029.0347.

²⁸¹ ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, p. 7, 01068.001.029.0347.

occur, noting that the competitive context in grocery retailing markets in Australia are varied and can involve unique or distinct characteristics.

Assessing whether conduct enhances or lessens competition

- 6.195. The OECD notes that the search for principled ways to distinguish pro-competitive and anti-competitive conduct has seen a number of tests proposed for market power cases, including the ‘profit sacrifice test’, the ‘no economic sense’ test, the ‘equally efficient firm’ test, and assessments of the net effect on consumer welfare. There is no general agreement that any single test is suitable to test every type of conduct – each test has its strengths and weaknesses, and some international jurisdictions tend to favour certain tests over others.²⁸²
- 6.196. Professor Patrick Rey’s report identifies economic principles relevant to considering whether investment in a new supermarket is competitive or may result in a substantial lessening of competition.
- 6.197. Professor Rey’s report is a consideration from the point of view of economic principles, it is not an expert report addressing the ultimate question of whether the Acquisition is likely to lessen competition or not. The ACCC did not seek a separate expert opinion on this question, noting that this is the question to be considered by it, having regard to all the information and submissions before it.
- 6.198. The ACCC has however been assisted by Professor Rey’s analysis at a principle level, in its consideration of the facts in assessing whether there would likely be a substantial lessening of competition.
- 6.199. Professor Rey supports an approach that assesses the net effect on consumer welfare: ‘...the key merit of the competitive process is to deliver an allocation that benefits consumers. Hence, from an economic standpoint, a given practice can be deemed to constitute an efficient outcome of the competitive process if it benefits consumers.’²⁸³
- 6.200. Professor Rey sets out circumstances in which a retailer expanding its presence in a market with a second store can harm competition due to the consequent exit of a rival.²⁸⁴ The exit can lower overall consumer welfare if consumers no longer have access to the price/quality mix offered by that retailer and they lose the rivalry that retailer contributed to the market, and this loss is not offset by the benefit of an additional supermarket by an existing retailer.²⁸⁵
- 6.201. The type of analysis suggested by Prof. Patrick Rey is helpful to assess whether, on balance, acquisitions that appear to be ‘competition on the merits’ are indeed pro-competitive or are likely to substantially lessen competition.
- 6.202. Dr Mike Walker, engaged by Coles, appears also to support an approach that assesses the net effect on consumer welfare, albeit using a different economic model (differentiated Bertrand) to the (Cournot) model Professor Rey used to support his more conceptual findings. Dr Walker states:

²⁸² Organisation for Economic Co-operation and Development (OECD), Series Roundtables on Competition Policy N° 56, [Competition on the Merits](#), 30 March 2006, p. 10.

²⁸³ ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, p. 3, 01068.001.029.0347.

²⁸⁴ ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, p. 5, 01068.001.029.0347.

²⁸⁵ ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, pp. 3-4, 01068.001.029.0347.

The relevant economic principles in this case (i.e. those that, when applied to the facts of the case, would aid the assessment of whether expansion by Coles in Kalgoorlie would result in a substantial lessening of competition) are those that apply specifically to competition between supermarkets and reflect how supermarkets compete.²⁸⁶

Within the differentiated Bertrand model, the opening of a new store by one of the supermarkets already active in the local area will, in the absence of another store closing or decreasing its offer, typically act to increase consumer surplus. This is because the new store represents an additional option for consumers that may be closer, more convenient, or otherwise preferred, and potentially lowers equilibrium prices through competition between the new store and other supermarkets.

If, however, the opening of the new store leads to the exit or diminution of the offer of another store, the impact on consumers may be positive or negative. Consumers who initially switch from [the Relevant Independent] to the new Coles store, will clearly benefit in the short term (or otherwise they would not choose to switch). Whether they benefit in the long term after [the Relevant Independent] exits will depend on the pattern of consumer substitution between stores. Consumers who stay with [the Relevant Independent] until it exits will lose out as they prefer this option over the new Coles store.

The differentiated Bertrand model can be used to estimate both (a) whether exit or diminution of the offer of another store is likely to occur; and (b) whether the overall impact on consumers would be negative.²⁸⁷

6.203. Mr Davis, engaged by Coles, states that a 'profit sacrifice test' is more appropriate. Mr Davis opines:

Where the profitability of an acquisition materially depends on induced exit or contraction of a rival, that indicates that a material part of the expected return is associated with the weakening of competitive constraints. In that circumstance, the expected return is not primarily explained by the creation of value through more effective competition. Conversely, where the acquisition appears commercially rational even without induced exit, that is, in my view, an indicator that the strategy is more likely to reflect the normal competitive process. In that process, firms respond to profit incentives and outcomes are driven by relative efficiency and the ability to meet consumer preferences on price and nonprice dimensions.²⁸⁸

6.204. Mr Davis considers that the approach to competition assessment is both practical and economically informative, because it focuses attention on:

- the expansion and exit decisions using available financial information, and
- whether post-exit market conditions indicate that competitive constraints have been weakened in a material and durable way.²⁸⁹

²⁸⁶ [Redacted - confidential].

²⁸⁷ [Redacted - confidential].

²⁸⁸ [Redacted - confidential].

²⁸⁹ [Redacted - confidential].

6.205. Mr Davis further states that the evidence that would be required to support a theory of harm based on predatory and exclusionary investment would include:

- Support for the notion that a firm had planned to invest in capacity that was so far in excess of demand as to reduce its expected profits across the market. For clarity, Mr Davis notes that the nature of the evidence required here is not that the investor would make an economic loss; rather, it is that the investor would financially do worse from investing in a new store (factual) than not investing (counterfactual). It would also be important in that analysis that the estimation of profits from the investment does not build in the benefits of less competition, for example through a competitor exit.
- Evidence of the deterrence of entry or crowding out of potential competitors, or of the disciplining of rivals; and
- A plausible recoupment path once rivals scale back or exit including through establishing that market power through barriers to entry or expansion were material, and likely to remain so in the near future, to facilitate the recovery of lost profits.²⁹⁰

6.206. Mr Davis states that the detriments identified by Professor Rey depend not only on exit occurring, but also on that exit weakening competition in a material and lasting way. Application of his approach requires the ACCC to assess, within a stylised static framework, whether rival displacement could reduce consumer welfare, even where:

- exit of the [Relevant Independent] or the supermarket assets is not certain, and
- the new store investment is expected to deliver direct and enduring consumer benefits, including to amenity and convenience.²⁹¹

6.207. The ACCC considers that the profit sacrifice test is also a valid test, but it might not capture all actions by a firm that would potentially have the effect of lessening competition. An observation by Professor Rey expands on this:

It can be noted that the expansion & exit scenario outlined by the ACCC, in which the new store de facto replaces [Relevant Independent], need not exhibit the dynamic pattern of predatory behaviour. A combination of demand and cost conditions (including fixed costs) suffices to determine the number of stores that can be viable under normal competition (without any predatory behaviour); furthermore, as the Acquisition involves irreversible sunk costs, exit may occur at the time where the new store becomes operational, in which case no profit sacrifice is involved.²⁹²

6.208. In assessing this Acquisition, the ACCC has had regard to the benefits and harms to competition due to the Acquisition from the perspective of consumers. This is consistent with the requirement in section 51ABZE(3) for the ACCC to take into account the object of the Act and the interests of consumers when making a decision in respect of a proposed acquisition.

6.209. The ACCC has considered material Coles submitted with respect to the profit sacrifice test as applicable to its assessment (for example, Coles' Business Case is a

²⁹⁰ [Redacted - confidential].

²⁹¹ [Redacted - confidential].

²⁹² ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, p. 9, 01068.001.029.0347.

material consideration), but the ACCC's assessment does not turn on whether the Acquisition is profitable or not. The ACCC's consideration of Coles' Business Case is set out in Attachment C.

The likelihood of sufficient and timely new entry

6.210. The threat of new entry may mean that an acquisition will not substantially lessen competition if that entry is likely, timely and sufficient in quality and quantity to make up for the loss in competition.²⁹³

6.211. In the present case, if the opening of the Proposed Supermarket were to lead to the exit of the Relevant Independent and its assets, timely new entry which is sufficient to offset the loss of the competitive constraint that it currently imposes (as an independent supermarket with a differentiated offering that consumers value) could mitigate a potential increase in market power and consequent competitive harm.

6.212. The ACCC has assessed the likelihood of sufficient and timely new entry following the establishment of the new Proposed Supermarket. More vigorous competitive activity by existing competitors (including refurbishments) in response to the Proposed Supermarket, as distinct from new stores, is considered separately as part of the discussion relating to competitive effects further below.

6.213. Coles submits that there are limited barriers to entry and that it remains profitable to enter, as shown by the history of entry in Kalgoorlie. Further, it submits that, after the Proposed Supermarket begins trading:

- incumbents will have an incentive to invest in new capacity to offset the loss of sales; and
- even if the Relevant Independent and its assets were to exit, this would facilitate entry through development of a new supermarket at its existing site.²⁹⁴

6.214. On the evidence before it, the ACCC considers that new entry is unlikely to be sufficient or timely, to address the competitive harm arising from the Acquisition.

6.215. The availability of suitable sites for supermarkets is not likely to be an issue for any potential new entrant in Kalgoorlie, although noting the timeframes for entry can be lengthy given the planning and development process and the costs of developing the land, building and associated works are substantial.

6.216. A key challenge for potential new entry is whether the current and anticipated future market conditions are likely to support profitable new entry. The ACCC considers that the Kalgoorlie market is already well supplied by supermarket capacity, which will substantially increase and become more acute, following the commencement of the Proposed Supermarket.

²⁹³ *Re Queensland Co-operative Milling Association Ltd – Proposed Merger* (1976) 8 ALR 481 (QCA), 512.

²⁹⁴ [Redacted - confidential].

Availability of suitable sites and the planning and development process

- 6.217. In the Supermarkets Inquiry Report, the ACCC identified the limited availability of suitable sites for supermarkets (including appropriately zoned land) as being a key barrier to entry.²⁹⁵
- 6.218. In the case of Kalgoorlie, however, the ACCC considers that suitable sites for the supermarkets in Kalgoorlie are not a particularly scarce resource, with there being multiple potentially suitable sites available.
- 6.219. That said, in addition to availability of suitable sites, and the time and cost of construction, developing a supermarket is subject to planning requirements, including the need for development applications to be approved.²⁹⁶ As outlined in the Supermarkets Inquiry Report, Coles submitted in the public hearings that the planning and development process ‘might take anywhere between five to seven years potentially’ if ‘things [are] going well’.²⁹⁷ In relation to another acquisition of a lease in Victoria, Coles stated preconstruction planning will typically take **[Redacted - confidential]**.²⁹⁸
- 6.220. Once suitable land is identified and approved for development, the land must be developed, buildings constructed and associated landscape, carpark and street work undertaken. This likely requires substantial capital outlay. While this cost is typically incurred by a third-party developer, **[Redacted - confidential]**, the supermarket operators are required to commit to a lease with the developer that compensates the developer for funding those costs. For the Proposed Supermarket **[Redacted - confidential]**.²⁹⁹
- 6.221. In some cases, Coles develops its own sites. For example, in planning a new supermarket in Dalyellup, Western Australia, Coles estimated **[Redacted - confidential]**.³⁰⁰ Once the land is developed and buildings constructed, the supermarket operator must incur the upfront capital costs of fitting out the supermarket. The upfront capital cost of the Proposed Supermarket is **[Redacted - confidential]**.³⁰¹
- 6.222. Some of these costs and time can be avoided by a new entrant acquiring a lease for an existing unoccupied supermarket building. Spudshed took this path by acquiring the lease for a building previously occupied by an IGA and before that Coles. However, there are two main challenges for a new entrant taking this path.
- 6.223. The first is that buildings and associated works on land depreciate and might require substantial renovation to be suitable for a new entrant. The second is that it can be difficult for new entrants to displace existing supermarket operators as they hold options over the land and buildings for very long periods. For example, Coles will **[Redacted - confidential]**.³⁰²

²⁹⁵ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 154.

²⁹⁶ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 76.

²⁹⁷ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 156.

²⁹⁸ **[Redacted - confidential]**.

²⁹⁹ **[Redacted - confidential]**.

³⁰⁰ **[Redacted - confidential]**. **[Redacted - confidential]**

³⁰¹ **[Redacted - confidential]**.

³⁰² **[Redacted - confidential]**.

6.224. Upfront costs of developing a new supermarket are expected to differ between supermarket operators with different business models and land and building requirements. On the evidence before it with respect to available supermarket capacity and potential demand growth in Kalgoorlie, the ACCC considers the costs and time involved in developing a new supermarket represent a substantial barrier to timely and sufficient new entry in Kalgoorlie.

Capacity and demand in Kalgoorlie

- 6.225. In assessing the likelihood of new entry following the Acquisition, the ACCC has considered supermarket capacity levels in Kalgoorlie over time, the increase in capacity as a result of the new supermarket, and anticipated population growth.
- 6.226. Coles submits its current intention to develop a new supermarket in Kalgoorlie is because there is enough current demand to warrant a new store. Coles submits **[Redacted - confidential]**.³⁰³ Coles further submits **[Redacted - confidential]**.³⁰⁴ The independent supermarket operator also **[Redacted - confidential]**.³⁰⁵
- 6.227. While the number of supermarkets and supermarket operators in Kalgoorlie has fluctuated over time, it is clear that SFA in Kalgoorlie has also increased significantly over time.
- 6.228. In the last two decades, for example, Coles Kalgoorlie, IGA Lionel St, O'Connor Fresh IGA, Hannans Foodworks, Coles Kalgoorlie, IGA Hannans Fresh and Spudshed Kalgoorlie have entered (in 2006, 2008, 2019, 2021, 2021 and 2025 respectively), while Coles City, Coles Hannans and IGA Hannans Fresh have closed (in 2021, 2021 and 2025 respectively). Throughout this period, Woolworths has had the same store in Kalgoorlie and Coles has had at least one store.³⁰⁶
- 6.229. Figure 5 below illustrates this historical entry and exit of supermarkets and the corresponding growth in SFA that has occurred in Kalgoorlie since 1969. While many new supermarkets are replacements of old supermarkets, it is clear that SFA in Kalgoorlie has increased significantly over time. Over the same period, Kalgoorlie's resident population has increased from approximately 21,000 to approximately 31,000.

Figure 5 History of total supermarket floor space and population in Kalgoorlie

[Redacted - confidential]

Source: ACCC analysis of information provided by market participants and ABS population estimates.³⁰⁷

6.230. The Proposed Supermarket would increase the estimated SFA in Kalgoorlie by approximately **[Redacted - confidential]**% (absent any exit by a competitor), being a considerable increase relative to population growth.

³⁰³ **[Redacted - confidential]**

³⁰⁴ **[Redacted - confidential]**.

³⁰⁵ **[Redacted - confidential]**.

³⁰⁶ **[Redacted - confidential]**.

³⁰⁷ **[Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]**.

- 6.231. As discussed at paragraphs 6.166-6.175 above, anticipated local population growth in Kalgoorlie is expected to be 0.4% per annum. As illustrated in Figure 5, recent population growth has also been low.
- 6.232. Larger full-line supermarkets, given their greater upfront fixed costs, would require higher volumes of demand in order to generate enough revenue to be profitable, than smaller format stores.

Potential for sufficient new entry is low

- 6.233. The evidence before the ACCC is that while there are supermarket operators that have the capability and expertise required to successfully develop a new supermarket in Kalgoorlie, no supermarket operators capable of replacing the differentiated offering and loss of rivalry following the exit of the Relevant Independent currently have an intention to enter. Further, given already high capacity and low anticipated population growth, the ACCC considers the incentive for other supermarket operators to profitably enter is likely to be reduced following the Acquisition.
- 6.234. The evidence before the ACCC is that Woolworths is not likely to develop a new store in Kalgoorlie. **[Redacted - confidential]**.³⁰⁸ **[Redacted - confidential]**.³⁰⁹
- 6.235. The ACCC considers that ALDI is also not likely to develop a new store in Kalgoorlie. Although ALDI has considered sites to potentially open a new store in Kalgoorlie, it submitted to the ACCC that it has no current plans to enter Kalgoorlie.³¹⁰
- 6.236. This submission was supported by ALDI's recent internal documents, which indicate **[Redacted - confidential]**.³¹¹ **[Redacted - confidential]**.³¹² **[Redacted - confidential]**.³¹³
- 6.237. ALDI subsequently **[Redacted - confidential]**.³¹⁴ **[Redacted - confidential]**.³¹⁵
- 6.238. Coles submits **[Redacted - confidential]**.³¹⁶ Information from third parties who have not had recent or direct contact with ALDI was mixed, with some indicating that they consider ALDI may enter Kalgoorlie in the future.
- 6.239. Based on the evidence before it, including ALDI's submissions and internal documents, the ACCC considers that ALDI is not likely to enter Kalgoorlie. Challenges ALDI has identified with introducing a store in Kalgoorlie are likely to persist.
- 6.240. As noted above, **[Redacted - confidential]**: **[Redacted - confidential]**.³¹⁷
- 6.241. The ACCC has been informed that another independent supermarket operator has been considering entering Kalgoorlie. The ACCC understands that this operator,

³⁰⁸ **[Redacted - confidential]**.

³⁰⁹ **[Redacted - confidential]**.

³¹⁰ **[Redacted - confidential]**.

³¹¹ See **[Redacted - confidential]**; **[Redacted - confidential]**.

³¹² **[Redacted - confidential]**; **[Redacted - confidential]**.

³¹³ **[Redacted - confidential]**.

³¹⁴ **[Redacted - confidential]**.

³¹⁵ **[Redacted - confidential]**.

³¹⁶ **[Redacted - confidential]**.

³¹⁷ **[Redacted - confidential]**.

whose position is highly confidential and commercially sensitive, has **[Redacted - confidential]**.³¹⁸

6.242. **[Redacted - confidential]**.³¹⁹ **[Redacted - confidential]**.

6.243. The ACCC considers that conditions for new entry are likely to be even more challenging in the future with the Acquisition.

6.244. As discussed in preceding sections, the effect of the Proposed Supermarket will be to reduce the sales and profitability of existing competitors. This is likely to further reduce the incentive for new entry.

6.245. For example, the independent supermarket operator which has been considering entering Kalgoorlie has submitted **[Redacted - confidential]**.³²⁰

6.246. On the other hand, if the Relevant Independent were to exit, this is likely mitigate, to at least some extent, the impact of the Proposed Supermarket on existing competitors' sales and profitability, since the Relevant Independent's customers would seek alternative supermarkets for their shopping and, at least to some extent, increasing the incentive to enter.

6.247. If the Proposed Supermarket goes ahead and the Relevant Independent exits, the ACCC considers that the overall effect is likely to be a net reduction in the incentive for entry by new entrants, including both ALDI and the independent supermarket operator which has been considering entering Kalgoorlie.

6.248. In relation to existing competitors, such as Woolworths, Mr Davis states:

[Redacted - confidential].³²¹

[Redacted - confidential].³²²

6.249. Coles submits it has identified a pattern of **[Redacted - confidential]**.³²³

6.250. While existing competitors may have an incentive to seek to recoup sales lost to the Proposed Supermarket, any decisions in relation to whether to open a new store will ultimately turn on whether the return from doing so is sufficient, including compared to other investment opportunities available, in circumstances where conditions for new entry in Kalgoorlie are likely to be more challenging than without the Acquisition.

6.251. Overall, the ACCC considers that existing competitors, including Woolworths, are not likely to develop new stores in Kalgoorlie in the future with the Acquisition, notwithstanding the loss of sales to the Proposed Supermarket.

6.252. Further, even if Woolworths did open a new store in response to the Proposed Supermarket, the ACCC considers that would not be sufficient to offset the competitive constraint which would be lost if the Relevant Independent were to exit. The Relevant Independent competitively constrains Coles and Woolworths by

³¹⁸ **[Redacted - confidential]**.

³¹⁹ **[Redacted - confidential]**.

³²⁰ **[Redacted - confidential]**.

³²¹ **[Redacted - confidential]**.

³²² **[Redacted - confidential]**.

³²³ **[Redacted - confidential]**.

supplying a differentiated offering that consumers value. A second Woolworths store would not replace the competitive constraint lost, as it would not provide that differentiated offering, nor would it compete against its existing store like the Relevant Independent does currently.

7. Competitive effects in the retail supply of groceries in Kalgoorlie

- 7.1. The ACCC has assessed the likely competitive effects in the retail supply of groceries in Kalgoorlie. In doing so, it has considered the extent to which the Proposed Supermarket results in any improved amenity or benefits from an increased competitive response. It has also considered the increase in market share and concentration, and the effects of the loss of a differentiated offering and competitive rivalry as a result of the exit of the Relevant Independent following the Acquisition. The ACCC's consideration of these issues is set out below.

Improved amenity of the Proposed Supermarket

- 7.2. The ACCC considers the product range and prices at the Proposed Supermarket will be substantially the same as at the existing Kalgoorlie store,³²⁴ but it will provide improved amenity for some Kalgoorlie consumers.
- 7.3. As Mr Davis states '[Redacted - confidential]'.³²⁵
- 7.4. The ACCC broadly agrees with Mr Davis that:
[Redacted - confidential].³²⁶
- 7.5. Mr Davis identifies:
[Redacted - confidential].³²⁷
- 7.6. The Proposed Supermarket will be attractive because it will be a new, high-quality store, consistent with Coles' other new supermarkets in its network across Australia, with carparking that is better than at the existing Coles³²⁸ and some customers will benefit from the location of the Proposed Supermarket.
- 7.7. The Proposed Supermarket is a 5-to-10-minute drive from the existing Coles supermarket³²⁹ so some Kalgoorlie consumers will see incremental time and travel cost savings,³³⁰ although some others will have to drive further for their shop, if the Relevant Independent exits the market.

³²⁴ [Redacted - confidential]; [Redacted - confidential].

³²⁵ [Redacted - confidential].

³²⁶ [Redacted - confidential].

³²⁷ [Redacted - confidential].

³²⁸ [Redacted - confidential].

³²⁹ Google. (n.d.) (Google Maps drive time for driving from the Property to Coles Kalgoorlie.) Retrieved 26 June 2026, from [google.com/maps](https://www.google.com/maps)

³³⁰ For example, research suggests commuters would value a 5-minute time saving at \$1.57 to \$2.79, not including fuel and vehicle costs: Commonwealth of Australia, Australia Transport Assessment and Planning Guidelines – Willingness to Pay National Survey, May 2024, Table 6.2, <https://www.atap.gov.au/sites/default/files/documents/atap-wtp-wave-3-report.pdf>.

- 7.8. Some Kalgoorlie consumers will choose the Proposed Supermarket over where they currently shop. **[Redacted - confidential]**.³³¹
- 7.9. Further, there is demand in Kalgoorlie for Coles' existing offering: the ACCC understands from Coles' Kalgoorlie Store Manager that sales at the current Coles store are **[Redacted - confidential]**, and an interested party submits **[Redacted - confidential]**.³³²
- 7.10. The Proposed Supermarket may also provide **[Redacted - confidential]**.³³³ The ACCC understands that Coles will **[Redacted - confidential]**.³³⁴
- 7.11. Evidence provided by Coles' Regional Manager - W107 is that **[Redacted - confidential]**.³³⁵
- 7.12. It is not clear to the ACCC whether, in the future without the Acquisition, Coles would or could improve its home delivery services, such as by investing in the existing store. The Proposed Supermarket may enable Coles to reduce the cost of providing an improved delivery service.

Response by competitors

- 7.13. Competitors in the Kalgoorlie market may respond competitively to Coles opening a second supermarket in Kalgoorlie.
- 7.14. Coles submits that competing supermarkets will have an incentive to competitively respond to the Proposed Supermarket, including by lowering prices, introducing specialised ranges, introducing new services, such as home delivery, and improving the fit out or service in existing stores.³³⁶
- 7.15. In this regard, Mr Davis states that:
[Redacted - confidential].³³⁷
- 7.16. All incumbent supermarkets in Kalgoorlie are likely to lose revenue to Coles if the Proposed Supermarket proceeds. For example, **[Redacted - confidential]**.³³⁸
- 7.17. At the same time, competitors who remain after entry by the Proposed Supermarket are also likely to gain revenue if an independent supermarket exits.³³⁹ It is reasonable to expect that competitors will need to **[Redacted - confidential]****[Redacted - confidential]**.³⁴⁰
- 7.18. The market in Kalgoorlie recently experienced the entry of a new supermarket operator: Spudshed. Woolworths responded to Spudshed by conducting a one-off

³³¹ **[Redacted - confidential]**.

³³² **[Redacted - confidential]**; **[Redacted - confidential]**.

³³³ **[Redacted - confidential]**.

³³⁴ **[Redacted - confidential]**.

³³⁵ **[Redacted - confidential]**.

³³⁶ **[Redacted - confidential]**.

³³⁷ **[Redacted - confidential]**.

³³⁸ **[Redacted - confidential]**.

³³⁹ By way of example, see **[Redacted - confidential]**.

³⁴⁰ **[Redacted - confidential]**.

special price promotion for certain products over approximately 4 weeks.³⁴¹ Coles' response to Spudshed's opening **[Redacted - confidential]**.³⁴²

Change in market shares and concentration

- 7.19. Market structure, including the number of competitors and the degree of concentration, is an indicator of the state of competition in a market.³⁴³ An acquisition in a concentrated market can raise competition concerns,³⁴⁴ particularly where the acquisition removes an effective local competitor.
- 7.20. The Acquisition and the consequent exit of the Relevant Independent will increase concentration in Kalgoorlie, with Coles' share of SFA in Kalgoorlie rising from **[Redacted - confidential]**% to **[Redacted - confidential]**% and its share of approximate revenue rising from **[Redacted - confidential]**% to **[Redacted - confidential]**% (see Tables 7 and 8 below). Coles' and Woolworths' combined share of SFA will increase from **[Redacted - confidential]**% to **[Redacted - confidential]**% and their combined share of approximate revenue will increase from **[Redacted - confidential]**% to **[Redacted - confidential]**%.

Table 7 Market shares based on SFA in Kalgoorlie*

Supplier	Status quo	W/Proposed Supermarket	w/Proposed Supermarket, w/o Relevant Independent
Coles Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Proposed Supermarket	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Combined Coles	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Woolworths Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Spudshed Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
O'Connor Fresh IGA	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Hannans FoodWorks	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
IGA Lionel St	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis of information provided by market participants.³⁴⁵

*Rounded to the nearest whole number.

³⁴¹ **[Redacted - confidential]**.

³⁴² **[Redacted - confidential]**.

³⁴³ See, for example: QCMA, 512.

³⁴⁴ ACCC, *Merger Assessment Guidelines*, June 2025, pp. 4, 13.

³⁴⁵ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

Table 8 Market shares based on revenue in Kalgoorlie*

Supplier	Status quo (2024-25) ³⁴⁶	w/Proposed Supermarket [Redacted - confidential] ³⁴⁷	w/Proposed Supermarket, w/o Relevant Independent [Redacted - confidential] ³⁴⁸
Coles Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Proposed Supermarket	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Combined Coles	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Woolworths Kalgoorlie	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Spudshed Kalgoorlie (notional) ³⁴⁹	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
O'Connor Fresh IGA	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Hannans FoodWorks ³⁵⁰	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
IGA Lionel St ³⁵¹	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis of information provided by market participants.³⁵²

*Rounded to the nearest whole number.

- 7.21. Further, exit by the Relevant Independent following entry by the Proposed Supermarket would mean the Kalgoorlie market would have the same number of full line supermarkets as it does now, but one fewer independent supermarket operator. Kalgoorlie would go from having 4 full-line supermarkets each separately owned and operated to 4 full-line supermarkets with 3 operators, two of which are nationally predominant.
- 7.22. Competition is a dynamic process and is about more than market concentration.³⁵³ In addition to increasing concentration in Kalgoorlie, the Acquisition will also result in the loss to the market of a differentiated offering and the constraint of an independent rival.

³⁴⁶ We do not have complete data and some figures have been estimated.

³⁴⁷ For 2030 revenues we have relied on Coles' estimates as per [Redacted - confidential].

³⁴⁸ For 2030 revenues we have relied on Coles' estimates as per [Redacted - confidential].

³⁴⁹ Spudshed entered Kalgoorlie in November 2025, so it did not earn revenue in the 2024-25 financial year. Its estimate is based on its monthly revenues between January 2026 through to March 2026 extrapolated over 12 months.

³⁵⁰ [Redacted - confidential].

³⁵¹ 2024-25 financial year revenue estimated [Redacted - confidential].

³⁵² [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

³⁵³ See, for example: QCMA, 482.

The loss of a differentiated offering and competitive rivalry

- 7.23. The Relevant Independent is proximate and convenient to local consumers. It is near **[Redacted - confidential]**. While it has a smaller floor space than Coles and Woolworths, it offers a large range of groceries to customers that competes head-to-head with Coles and Woolworths and also differentiates itself from other supermarkets in Kalgoorlie by tailoring its offering to local tastes and, to a degree, selling local products.³⁵⁴
- 7.24. Figure 4 illustrates that the Relevant Independent supplies **[Redacted - confidential]**, but its product offering is also differentiated from Coles. It stocks approximately **[Redacted - confidential]** SKUs, **[Redacted - confidential]** of which are supplied by Metcash.³⁵⁵ Approximately **[Redacted - confidential]**.³⁵⁶ Information sought from Metcash suggests **[Redacted - confidential]**.³⁵⁷
- 7.25. The Relevant Independent submits **[Redacted - confidential]**.³⁵⁸ It submits **[Redacted - confidential]**.³⁵⁹ **[Redacted - confidential]**.³⁶⁰ **[Redacted - confidential]**,³⁶¹ locally made **[Redacted - confidential]**.³⁶² **[Redacted - confidential]**.³⁶³
- 7.26. The Relevant Independent is also differentiated in that it is not subject to the restricted trading hours that apply to Coles and Woolworths under Western Australian legislation.³⁶⁴ It also expends meaningful effort and cost on customer service, **[Redacted - confidential]**.³⁶⁵ It submits that it **[Redacted - confidential]**.³⁶⁶
- 7.27. The Relevant Independent makes pricing decisions **[Redacted - confidential]**.³⁶⁷
- 7.28. The Relevant Independent's past and current behaviour indicates it competes meaningfully with larger supermarkets on price. It **[Redacted - confidential]**.³⁶⁸ It is, on average, **[Redacted - confidential]**.
- 7.29. However, it **[Redacted - confidential]**.³⁶⁹ It also **[Redacted - confidential]**.³⁷⁰ **[Redacted - confidential]**.³⁷¹

³⁵⁴ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁵⁵ **[Redacted - confidential]**.

³⁵⁶ **[Redacted - confidential]**.

³⁵⁷ **[Redacted - confidential]**.

³⁵⁸ **[Redacted - confidential]**.

³⁵⁹ **[Redacted - confidential]**.

³⁶⁰ **[Redacted - confidential]**.

³⁶¹ **[Redacted - confidential]**.

³⁶² **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁶³ **[Redacted - confidential]**.

³⁶⁴ *Retail Trading Hours Act 1987 (WA)*

³⁶⁵ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁶⁶ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**. **[Redacted - confidential]**.

³⁶⁷ **[Redacted - confidential]**.

³⁶⁸ **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁶⁹ **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁷⁰ **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁷¹ **[Redacted - confidential]**.

- 7.30. The Relevant Independent submits **[Redacted - confidential]**.³⁷² It also submits **[Redacted - confidential]**.³⁷³
- 7.31. The Relevant Independent benefits from **[Redacted - confidential]**.³⁷⁴ In the 2025 financial year, **[Redacted - confidential]**.³⁷⁵
- 7.32. The programs include:
- **[Redacted - confidential]**;
 - **[Redacted - confidential]**; and
 - **[Redacted - confidential]**.
- 7.33. This significant differentiation is a source of substantial competitive tension in Kalgoorlie, and the exit of this effective rival will mean that remaining competitors will face materially less competitive constraint in the future with the Acquisition.
- 7.34. The role of the Relevant Independent in the competitive landscape **[Redacted - confidential]**.³⁷⁶ By comparison, **[Redacted - confidential]**.³⁷⁷ This indicates an ability to competitively attract and retain customers.
- 7.35. If the Relevant Independent were to exit, customers would then lose a supermarket that provides them with an attractive, differentiated combination of price, service, product range and store quality and the benefit of the competitive rivalry that offering brings to the Kalgoorlie market. As Prof. Rey put it, exit can lower overall consumer welfare if consumers no longer have access to the price/quality mix offered by that retailer and they lose the rivalry that retailer contributed to the market, and this loss is not offset by the benefit of an additional supermarket by an existing retailer.³⁷⁸
- 7.36. The ACCC considers that, in the future with the Acquisition, the loss of competitive tension that the Relevant Independent contributes to the market will decrease the competitive pressure on incumbents to keep prices down, maintain customer service levels, product quality (in terms of range suited to local preferences and the quality of those products) and, in the longer term, store quality.

Prices

- 7.37. The ACCC accepts that the major supermarkets do not compete materially on shelf prices in Kalgoorlie specifically, so a lessening of competition in Kalgoorlie is unlikely to manifest in the form of substantial shelf price effects, at least in the short term (nor is any possible competitive response to a new store).
- 7.38. Coles **[Redacted - confidential]**.³⁷⁹ It currently sets its prices on a state-wide or national basis, with some exceptions where there is flexibility to change prices locally, albeit limited in scope and degree.

³⁷² **[Redacted - confidential]**.

³⁷³ **[Redacted - confidential]**.

³⁷⁴ **[Redacted - confidential]**.

³⁷⁵ **[Redacted - confidential]**.

³⁷⁶ **[Redacted - confidential]**.

³⁷⁷ **[Redacted - confidential]**.

³⁷⁸ ACCC, *Coles Kalgoorlie (Patrick Rey)*, 14 May 2026, pp. 3-4, 01068.001.029.0347.

³⁷⁹ **[Redacted - confidential]**.

- 7.39. Coles' internal documents illustrate that **[Redacted - confidential]**,³⁸⁰ **[Redacted - confidential]**.³⁸¹
- 7.40. Coles documents also show **[Redacted - confidential]**.³⁸²
- 7.41. Coles submits that, in part because of its state-wide or national pricing practice it 'is, and will continue to be post-Acquisition, subject to effective price competition in Kalgoorlie irrespective of local competitive dynamics.'³⁸³ That may be so, but Coles' state-wide or national prices may not reflect competitive levels because:
- The local areas in which Coles has supermarkets in WA and nationally are highly concentrated, with Coles having high market shares³⁸⁴
 - Coles earns high economic profits across its supermarkets in WA and nationally³⁸⁵
 - As outlined in the Supermarkets Inquiry Report, Woolworths and Coles have limited incentive to compete effectively on price and they are not constrained by other competitors.³⁸⁶
 - **[Redacted - confidential]**.³⁸⁷ **[Redacted - confidential]**.³⁸⁸ **[Redacted - confidential]** **[Redacted - confidential]** **[Redacted - confidential]**.³⁸⁹
- 7.42. The ACCC has also considered whether the exit of the Relevant Independent will reduce the extent to which rivals other than Coles will compete on price. In this regard, the ACCC notes that:
- Woolworths **[Redacted - confidential]**.³⁹⁰
 - **[Redacted - confidential]** and will likely have less incentive to discount prices with the exit of a rival.³⁹¹
 - In the future with the Acquisition, the constraint imposed on the full-line supermarkets by the smaller independents, IGA Lionel St and Hannans FoodWorks, would not be materially different.

Customer service

- 7.43. Supermarket operators in Kalgoorlie compete on the basis of customer service.³⁹² It is one of the Relevant Independent's core differentiating factors and a significant contributor to its success in attracting customers and sales from Kalgoorlie rivals.

³⁸⁰ **[Redacted - confidential]**.

³⁸¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁸² **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁸³ **[Redacted - confidential]**.

³⁸⁴ See Attachment A.

³⁸⁵ See Attachment B.

³⁸⁶ ACCC, [Supermarkets Inquiry Final Report](#), February 2025, p. 97-99.

³⁸⁷ **[Redacted - confidential]**.

³⁸⁸ **[Redacted - confidential]**.

³⁸⁹ **[Redacted - confidential]**.

³⁹⁰ See paragraph 6.18.

³⁹¹ See paragraphs 6.40-6.41.

³⁹² See paragraphs 6.7 and 6.23.

- 7.44. As noted above, the Relevant Independent provides a differentiated customer service package. It prioritises **[Redacted - confidential]**.³⁹³
- 7.45. The Proposed Acquisition and the exit of the Relevant Independent will remove this constraint from the customer service dimension of competition. This will materially change the process of competition in Kalgoorlie, with remaining rivals having less incentive to invest in customer service in the future with the Acquisition.

Product range and quality

- 7.46. The ACCC considers that product range and quality is an important dimension of competition in Kalgoorlie. It is apparent from the Relevant Independent's relative revenue (see Table 3) that consumers in Kalgoorlie value its offering. Coles and Woolworths tailor their product ranges to local markets such as Kalgoorlie to an extent, but do not respond to local competition in Kalgoorlie. Coles submits that:

[Redacted - confidential].³⁹⁴

- 7.47. However, Coles also says that:

[Redacted - confidential].³⁹⁵

- 7.48. Further, in FY25 Coles was working on a project to **[Redacted - confidential]**.³⁹⁶ If that project is successful, Coles would **[Redacted - confidential]**.
- 7.49. Independent supermarkets appear more able to tailor their product range and quality to the needs of local consumers in Kalgoorlie and this is a key differentiating factor for them. For the Relevant Independent in particular, its product range, quality and customer service are significant contributors to its success in attracting customers and revenue away from rivals.
- 7.50. The Acquisition, and the exit of the Relevant Independent, will remove this constraint from the product range dimension of competition and materially change the process of competition in Kalgoorlie. Remaining rivals will have less incentive to invest in a tailored or differentiated product range and quality in the future with the Acquisition than in the future without.
- 7.51. The loss of an effective competitor in Kalgoorlie may also increase Coles' incentive to use product range and quality decisions to increase profit. With less competition in Kalgoorlie, Coles would have less incentive to match or closely match the differentiated products offered by the Relevant Independent.

Store investment

- 7.52. Coles has a relatively new store in central Kalgoorlie that forms part of its national network of stores. Coles' decision to open that store was in part due to the acknowledgment that the store location and amenities surrounding the store would positively contribute to Coles' revenue and compete against rival supermarkets in

³⁹³ **[Redacted - confidential]**; **[Redacted - confidential]**.

³⁹⁴ **[Redacted - confidential]**.

³⁹⁵ **[Redacted - confidential]**.

³⁹⁶ **[Redacted - confidential]**.

Kalgoorlie. A Coles internal document recognises Coles Kalgoorlie for the following features:³⁹⁷

- [Redacted - confidential],
- [Redacted - confidential],
- [Redacted - confidential],
- [Redacted - confidential], and
- [Redacted - confidential].

- 7.53. Coles typically reinvests in its stores every [Redacted - confidential] years, depending on [Redacted - confidential].³⁹⁸
- 7.54. [Redacted - confidential], if Coles faced less competition in that local market, it would have less incentive to do so.
- 7.55. Other rivals in Kalgoorlie would have less incentive to upgrade and reinvest in their stores in the future with the Acquisition than they would in the future without the Acquisition.

8. Conclusion

- 8.1. The ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in grocery retailing by supermarkets in Kalgoorlie.
- 8.2. In reaching this conclusion, the ACCC has undertaken a single evaluative judgement,³⁹⁹ having regard to the object of the Act and the interests of consumers and having considered the submissions made and information and documents before it. As set out above, the ACCC has made findings on a number of factual issues which are relevant to its determination, as explained earlier in these reasons.
- 8.3. The ACCC has reached its conclusion as follows.
- 8.4. First, the ACCC accepts the Acquisition is likely to have some pro-competitive effects. Coles' investing in a new store in Kalgoorlie will bring benefits to some consumers in the form of improved amenity and some competitive response from incumbent supermarkets.
- 8.5. Second, the ACCC considers that these benefits are confined to those customers who would prefer the Proposed Supermarket to the supermarkets they currently shop at, and any competitive response on price to the Proposed Supermarket is likely to be short term in duration.
- 8.6. Third, beyond those short-term competitive effects, there is a material risk that an effective, independent competitor will exit the market as a result of the Acquisition and the loss of this competitor will substantially lessen competition in the Kalgoorlie market for retail groceries. This is because the Proposed Supermarket is expected to

³⁹⁷ [Redacted - confidential].

³⁹⁸ [Redacted - confidential].

³⁹⁹ *ACCC v Pacific National*, [246] (Middleton and O'Bryan JJ) approving the approach taken by Beach J in *Australian Competition and Consumer Commission v Pacific National Pty Ltd* [No 2] [2019] FCA 669, [1276].

win significant sales from the existing Kalgoorlie supermarkets and there is a material risk that the loss of those sales will place sufficient financial pressure on an independent competitor that it will exit, and its assets will also leave exit the market rather than facilitating new entry.

- 8.7. Fourth, with little prospect of sufficient and timely new entry, the combination of gaining a second store and the exit of the effective independent competitor will result in Coles having a substantial degree of market power in Kalgoorlie, enabling Coles to engage in the competitive process with less competitive constraint.
- 8.8. Fifth, the likely effect of the Acquisition would be to increase concentration, in that one fewer independent supermarket would be present, and remove a competitive constraint on remaining supermarkets. Coles would operate two of the four full-line supermarkets in Kalgoorlie. Its share of SFA and revenue would increase materially, and the combined Coles and Woolworths share of GLA used for larger supermarkets would increase from its already high level of 62%.
- 8.9. Sixth, consumers would likely be worse off over time by losing a differentiated local offer, including local products, longer trading hours, higher-touch customer service, and locally responsive pricing and product ranging. The loss of this independent, differentiated supermarket would reduce (principally) non-price competitive rivalry, reducing the pressure on remaining supermarkets to maintain or improve their product, service and store quality offering.
- 8.10. For these reasons, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in the retail supply of groceries by supermarkets in Kalgoorlie.
- 8.11. Being satisfied of the requirements of section 51ABZE(2)(c) of the CCA, the ACCC determines that the Acquisition must not be put into effect.

Attachment A: Market Share Analysis

- A1. This attachment sets out more detail of the ACCC's market share analysis and a comparison between the GapMaps data used by the ACCC and a similar data provided by Coles (**Coles Data**).

Market share analysis

- A2. The ACCC has measured the share of store numbers and the share of GLA in local areas surrounding each Coles store. Each local area is represented by a 5, 10 or 20 minute drive time isochrone around a central location – the relevant Coles store. The data includes 848 Coles stores, so there are 848 local areas analysed. In Western Australia the data includes 101 Coles stores, and 1 Coles store in Kalgoorlie.
- A3. The GapMaps data includes small convenience stores. This was excluded from the analysis by filtering out all stores that have a GLA of less than 1,000m².
- A4. The mean and median of the shares of stores and share of GLA are illustrated in Tables 9 and 10. Table 9 sets out Coles' shares and Table 10 sets out the combined shares of Coles and Woolworths.

Table 9 Coles' shares in local areas around each Coles' store (GLA >= 1000 m2)

Geography	Drive time around Coles store	Number of Coles stores	Share of stores (mean)	Share of stores (median)	Share of GLA (mean)	Share of GLA (median)
National	5 min	848	40%	33%	45%	42%
	10 min	848	34%	32%	39%	37%
	20 min	848	31%	30%	37%	36%
WA	5 min	101	37%	33%	43%	38%
	10 min	101	34%	30%	39%	35%
	20 min	101	31%	27%	37%	33%
Kalgoorlie	5 min	1	20%	20%	26%	26%
	10 min	1	20%	20%	26%	26%
	20 min	1	20%	20%	26%	26%

Source: ACCC analysis, GapMaps, 2024

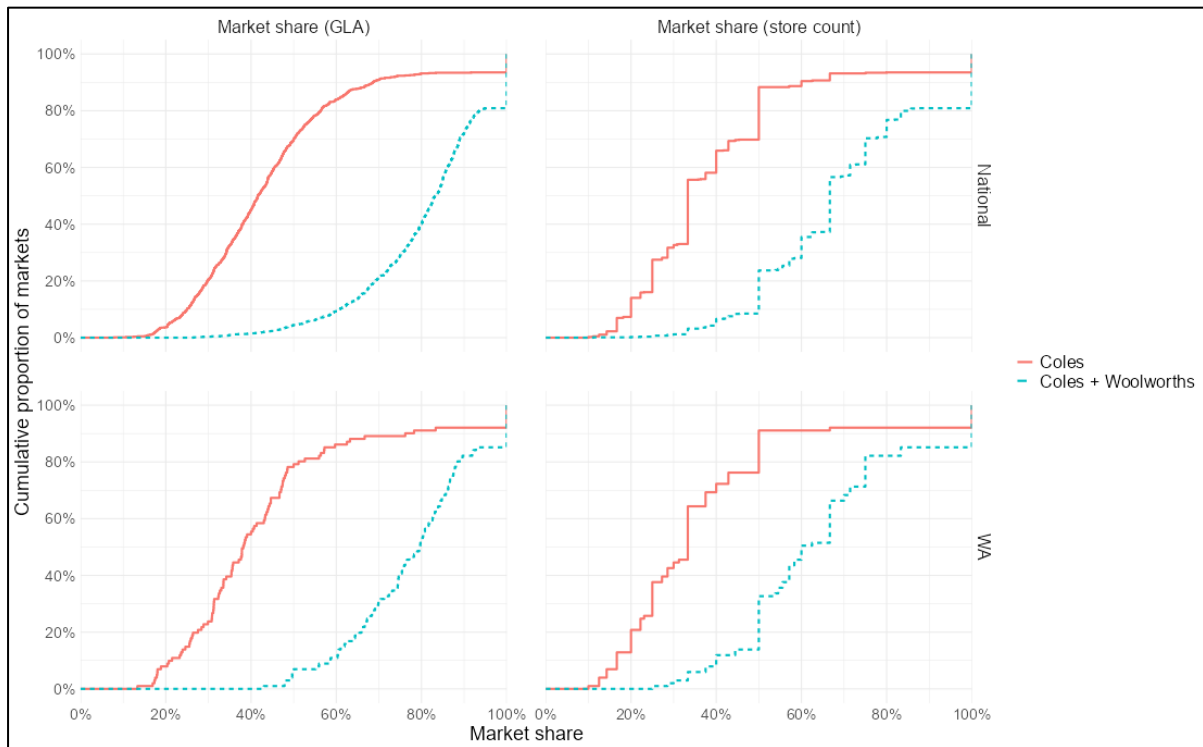
Table 10 Coles and Woolworths' shares in local areas around each Coles store (GLA >= 1000 m2)

Geography	Drive time around Coles store	Number of Coles stores	Share of stores (mean)	Share of stores (median)	Share of GLA (mean)	Share of GLA (median)
National	5 min	848	69%	67%	81%	83%
	10min	848	67%	67%	79%	81%
	20 min	848	65%	65%	77%	78%
WA	5 min	101	64%	60%	78%	80%
	10min	101	62%	57%	74%	72%
	20 min	101	60%	55%	73%	70%
Kalgoorlie	5 min	1	40%	40%	62%	62%
	10min	1	40%	40%	62%	62%
	20 min	1	40%	40%	62%	62%

Source: ACCC analysis, GapMaps, 2024

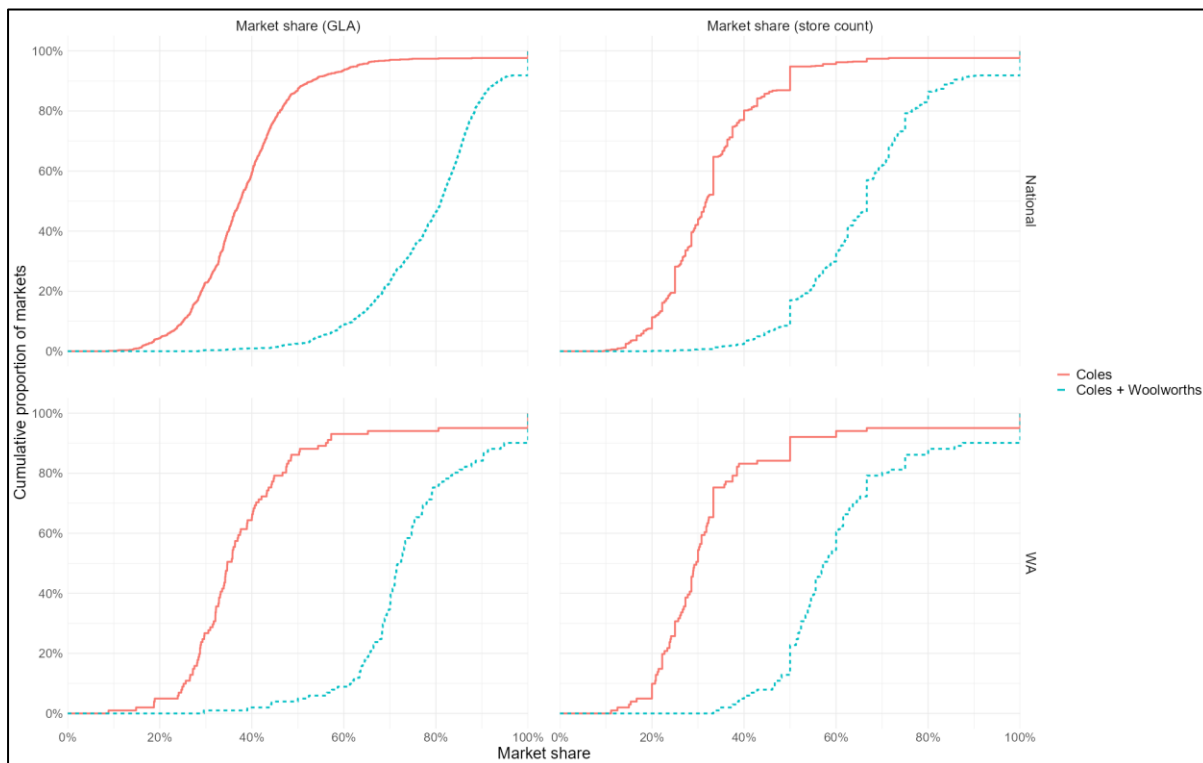
- A5. The shares of stores and GLA for all of the local areas analysed are illustrated in Figures 6, 7 and 8 below.
- A6. Figure 6 includes four cumulative distribution graphs for local areas defined by 5 minute drive time isochrones. Each graph includes the shares of either the store count or GLA in each local area, for either Australia and WA, and for Coles and for Coles and Woolworths combined.
- A7. Figure 8 illustrates the same, but for local areas defined by 20 minute drive time isochrones. The illustration of the same data for local areas defined by 10 minute drive time isochrones (Figure 7) is included in the main body above (Figure 1).

Figure 6 Cumulative distribution of shares in local areas within 5 mins drive time of each Coles store in Australia



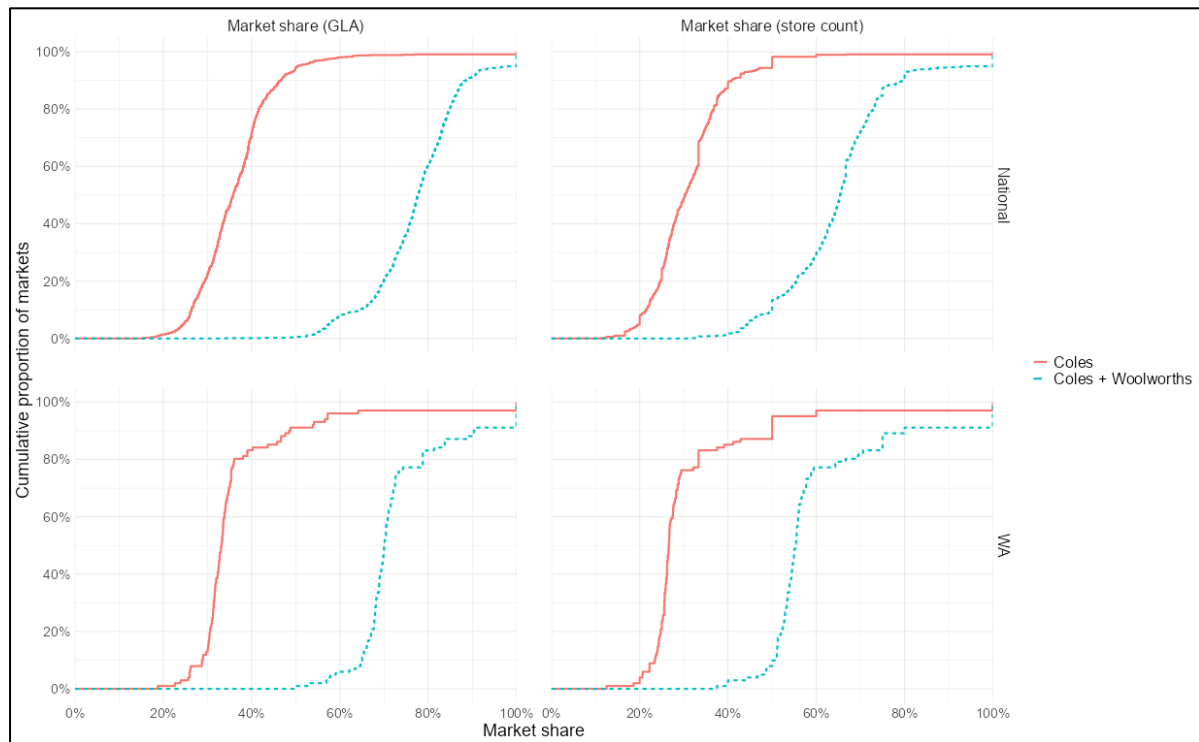
Source: ACCC analysis, GapMaps, 2024

Figure 7 Cumulative distribution of shares in local areas within 10 mins drive time of each Coles store in Australia



Source: ACCC analysis, GapMaps, 2024

Figure 8 Cumulative distribution of shares in local areas within 20 mins drive time of each Coles store in Australia

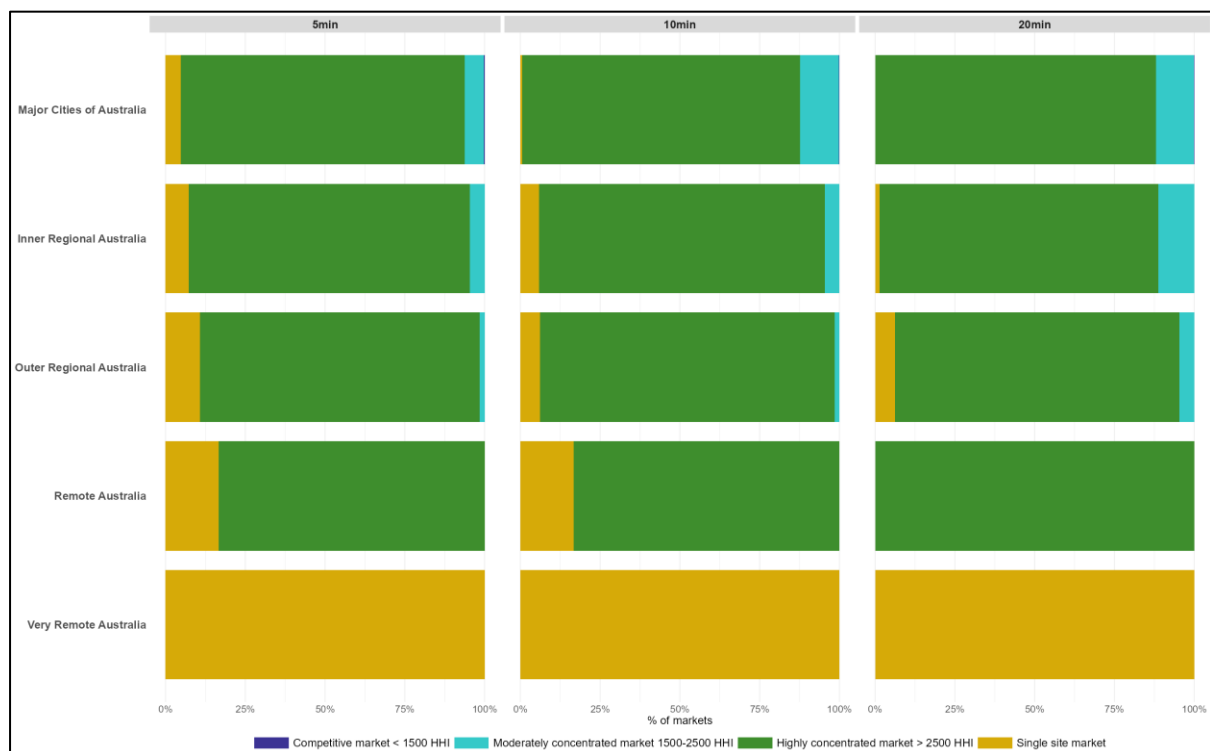


Source: ACCC analysis, GapMaps, 2024

- A8. The ACCC calculated HHIs for each local area and categorised them into the following according to their HHI: Competitive Market (<1500 HHI), Moderately Concentrated Market (1500-2500 HHI), Highly Concentrated Market (>2500 HHI), Single Site Market.
- A9. For this analysis, stores operating under common ownership are treated as a single 'group' (e.g. in each local area, all Coles stores are combined as a single group, all Drakes stores are combined as a single group). Independent stores operating under the same banner but likely under separate ownership are treated as separate groups (i.e. IGA, Foodland, Foodworks, Friendly Grocers, and Spar stores).⁴⁰⁰
- A10. Figure 9 summarises the HHI estimates based on GLA shares for all the local areas around Coles' stores in Australia. Bar charts are included for 5, 10 and 20 minute drive time isochrones, and for each category of geographic area: major cities, inner regional, outer regional, remote, and very remote.

⁴⁰⁰ Coles submits [Redacted - confidential].

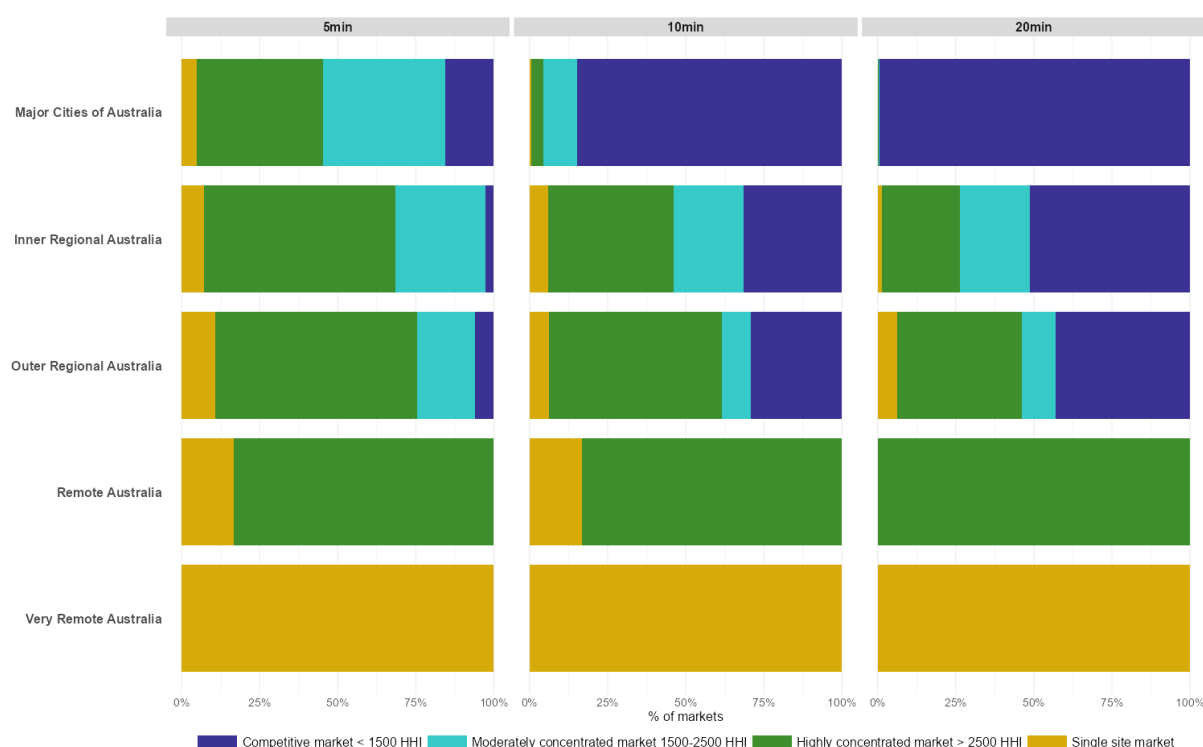
Figure 9 Distribution of HHIs based on GLA for various types of geographies and drive time isochrones around Coles stores (GLA $\geq$ 1000 m²) – by group



Source: ACCC analysis, GapMaps, 2024

- A11. Figure 10 repeats the analysis illustrated in Figure 9, but calculates the HHI in each local area treating each store as a separate competitor (e.g. if there are two Coles' stores in a local area they are treated as two independent competitors).
- A12. The comparison between Figures 9 and 10 helps illustrate the effect on concentration of common ownership of stores in each local area. It demonstrates that many local markets in Australia where Coles operates are moderately or highly concentrated.

Figure 10 Distribution of HHIs based on GLA for various types of geographies and drive time isochrones around Coles stores (GLA ≥ 1000 m2) – by store



Source: ACCC analysis, GapMaps, 2024

Comparison between GapMaps data and Coles Data

- A13. The ACCC obtained the GapMaps data in 2024, and it reflects the supermarkets operating at that time. Coles raised concerns regarding the accuracy of the GapMaps data (as it does not include supermarkets which have opened since or planned to open in future) and that it was limited to measuring the size of stores by GLA (as measuring size by SFA might produce different results).
- A14. As a result, the ACCC requested a similar dataset from Coles, which the ACCC understands Coles uses as an input into the preparation of its business cases.⁴⁰¹ The ACCC repeated its analysis using the Coles Data to understand whether there are material differences between the results of the ACCC's analysis using the GapMaps data and separately the Coles Data.
- A15. Given that the GapMaps data and the Coles Data do not come from the same source, the ACCC expected some differences. The differences identified were with respect to how stores are identified, how each individual store is attributed to a brand, and the estimates of a stores' GLA, which are explained below.
- A16. The Coles Data contains **[Redacted - confidential]** whereas the GapMaps data contains 4,836 stores divided into 16 unique brands.

⁴⁰¹ **[Redacted - confidential]**.

Table 11 Store attributions to brand

Brand	Coles' Data	GapMaps	Difference
ALDI	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Coles	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Costco	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Drake's Supermarkets	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Ethnic Supermarket	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Farmer Jack's	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Foodland	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Foodworks	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Fresco	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Fresh & Save	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Friendly Grocers	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Hanaromart	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Harris Farm	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
IGA	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Independent Supermarket	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
KFL	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
KT Mart	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
NQR Grocery Clearance Stores	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Romeo's	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Saccas	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Spar Hypermarket	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
SpudShed	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]

Supabarn	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Tong Li	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
Woolworths	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis, GapMaps, Coles Data

- A17. The GapMaps data is accompanied by geospatial data defining 5-, 10- and 20-minute drive time isochrones around each store. This data is used to define the local areas as set out above and to define which stores are located in each local area.
- A18. The Coles Data includes data relating to isochrones, however it doesn't include the geospatial dataset defining each isochrone. To undertake our analysis, the ACCC matched the stores in the Coles Data to the stores in the GapMaps data, so each store could be linked to a GapMaps isochrone.
- A19. As set out in Table 11 above, the different datasets included different brands. Stores with a brand in one dataset that didn't feature in the other dataset could not be matched. There were **[Redacted - confidential]** stores with brands that featured in both datasets. They were matched using their brand, the SA1 code in which they were located, and their latitude and longitude (i.e. to measure a distance between the geolocation of the store in the Coles Data and the geolocation of the store in the GapMaps data).
- A20. This approach allowed for 97% of the stores that could be matched to be matched, as set out in Table 12. The 3% of stores that were not matched were excluded from the analysis comparing the Coles Data and the GapMaps data.

Table 12 Data Matches Summary

[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis, GapMaps, Coles Data

- A21. The ACCC also compared the GLA estimate in the Coles Data with the GLA estimate in the GapMaps data for the stores that were matched. There were differences in Coles' estimates of stores' GLA and the GapMaps estimates. Of those stores that were matched, **[Redacted - confidential]**% had a difference in the GLA estimate of

100m² or less, and [Redacted - confidential]% had a difference in GLA of 500sqm or less. Comparative statistics are set out in Table 13.

Table 13 Comparison of GLA estimates for the 3,633 matched stores

[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]
[Redacted - confidential]	[Redacted - confidential]

Source: ACCC analysis, GapMaps, Coles Data

- A22. The ACCC also estimated the shares of GLA for each local area 5, 10 and 20 minutes drive time around each Coles store in the Coles Data that could be matched to the GapMaps data. Table 14 and Figure 11 set out the results of the analysis using the Coles Data and can be compared to Tables 9 and 10 and Figure 7 setting out similar analysis using the GapMaps data.

Table 14 Coles shares in local areas around each Coles store (GLA >= 1000 m2)

[Redacted - confidential]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
[Redacted - confidential]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
[REDACTED - CONFIDENTIAL]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
[Redacted - confidential]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]

Source: ACCC analysis, Coles Data

Figure 11 Cumulative distribution of market shares in local areas within 10 minutes drive time of each Coles store in Australia**[Redacted - confidential]**

Source: ACCC analysis, Coles Data

A23. The ACCC also repeated its analysis using the Coles Data, deriving new isochrones around each Coles store in the Coles Data, and measuring shares of SFA. This approach did not require matching stores between datasets. There was no cutoff applied based on SFA size, so all stores were included. Table 15, Figure 12, and Figure 13 illustrate the results.

Table 15 Coles shares in local areas around each Coles store

[Redacted - confidential]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
[Redacted - confidential]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
[REDACTED - CONFIDENTIAL]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
[Redacted - confidential]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]
	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]	[Redacted - confidentialia I]

Source: ACCC analysis, Coles Data, AzureMaps Isochrones

Figure 12 Cumulative distribution of shares in local areas within 5 mins drive time of each Coles store in Australia**[Redacted - confidential]**

Source: ACCC analysis, Coles Data, AzureMaps Isochrones

Figure 13 Distribution of HHIs based on SFA for various types of geographies and drive time isochrones around Coles stores – by group**[Redacted - confidential]**

Source: ACCC analysis, Coles Data, AzureMaps Isochrones

Attachment B: Economic profits

- B1. All firms must have enough market power to price above their marginal costs, so they can recover their long-run efficient costs. However, in workably competitive markets it is expected that, over a relevant period, firms would not be able to earn economic profit by pricing above long-run efficient costs.
- B2. There is no single best measure of profit to assess a firm's ability to price above long-run efficient costs. However, Coles uses measures of internal rate of return (**IRR**) and return on capital (**RoC**) regularly in its decision making.⁴⁰²
- B3. An IRR is the discount rate at which an investment has zero net present value and is usually measured for individual investment decisions.
- B4. RoC measures a firm's earnings before interest and tax, as a proportion of the depreciated capital it has invested. RoC can be measured for an individual investment, over multiple investments made at different times, or over an entire business. RoC is expected to change over time as investments in assets tend to be made upfront and profits tend to be earned over the life of those assets.
- B5. When observed over an appropriate period, if the IRR or RoC is materially above the cost of capital this indicates that the firm is able to price above its long-run costs.

IRR information

- B6. Information provided by Coles shows that its expected IRR for investments in recently opened stores exceeds its cost of capital.
- B7. The ACCC requested Coles' financial data and business cases for stores that commenced trading in non-metro areas from 1 January 2023. Coles' response included data relating to **[Redacted - confidential]**,⁴⁰³ **[Redacted - confidential]**.⁴⁰⁴
- B8. **[Redacted - confidential]**.
- B9. The investment to replace its now-retired store in Kalgoorlie with its existing Kalgoorlie store was expected to earn an IRR of **[Redacted - confidential]**%, compared to its weighted average cost of capital of **[Redacted - confidential]**% at the time.⁴⁰⁵ Coles' recent financial data for the Coles Kalgoorlie store indicates its revenue for FY23 to FY25 **[Redacted - confidential]** its forecast from prior to the store opening.⁴⁰⁶

RoC information

- B10. Information provided by Coles shows that it earned a RoC over the last 10 years that is likely to have consistently exceeded its cost of capital.

⁴⁰² Coles Group, [2025 Annual Report](#), p. 65; **[Redacted - confidential]**; **[Redacted - confidential]**.

⁴⁰³ **[Redacted - confidential]**.

⁴⁰⁴ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

⁴⁰⁵ **[Redacted - confidential]**.

⁴⁰⁶ **[Redacted - confidential]**.

- B11. There are often challenges in measuring a company's RoC in a way that is comparable to its weighted average cost of capital.
- B12. One challenge is ensuring the measurement captures all the parts of the business that operate supermarkets and does not capture the parts of the business that are not relevant to operating supermarkets.⁴⁰⁷
- B13. The ACCC considers that some capital relating to Coles' supermarket operations may be included in related bodies corporate, rather than in Coles Supermarkets, and as a result should be considered. However, the Coles Group also includes subsidiaries that should not be included in assessing the RoC for supermarkets. In light of this, the ACCC considers that Coles' RoC for Supermarkets and related bodies corporate in Australia is likely to fall between its RoC for stores in Australia and the RoC for Coles Group. For example, the RoC for Stores in Australia in 2025 would fall between **[Redacted - confidential]%** and **[Redacted - confidential]%**, which **[Redacted - confidential]** Coles' WACC of **[Redacted - confidential]%**.
- B14. A second challenge is that a business' RoC would be expected to vary over time, as its investments and cash flows relating to those investments vary. Complicating this is that businesses, like Coles, make many investments over time, so its cashflows for any year are an aggregate of many different investments. It is important, therefore, to observe Coles' RoC over a relatively long time to account for variances in the timing of cash flows. Coles provided its estimates of RoC over the last 10 years, which matches the typical business case period for its supermarkets.
- B15. A third challenge is ensuring the estimates apply the right accounting adjustments. The RoC data provided by Coles applies AASB 16 adjustments, which have the effect of converting Coles' lease expenses into capital (see Table 17).⁴⁰⁸ Coles explains that the lease-adjusted return on capital (**LARoC**) data it provided does not apply the AASB 16 adjustments (see Table 16).⁴⁰⁹
- B16. The ACCC considers that it is appropriate to not apply AASB 16 accounting adjustments to lease expenses for the purpose of assessing whether Coles can set prices above its long-term costs. Under AASB 16, lessees are required to convert expenses associated with longer-term leases as rights of use assets and liabilities in their accounts.
- B17. In this case, the ACCC prefers an approach that reflects the actual cashflows (including lease expenses) and the actual capital investments made by Coles to generate those cashflows (excluding the NPV of future lease expenses). This is because leases are an ongoing expense incurred by Coles, funded by the ongoing operations of the business, and do not require an investor to contribute the upfront cost of the lease over its entire term.
- B18. The AASB 16 adjustments made by Coles are not consistent with the approach taken by Coles to measure economic costs. For example, Coles **[Redacted - confidential]**⁴¹⁰

⁴⁰⁷ The ACCC requested the RoC data from Coles for its supermarkets subsidiary and related bodies corporate (in Australia and in WA) and for its Kalgoorlie store. However, the data provided by Coles (see Table 16) did not include related bodies corporate in the RoC data relating to its stores.

⁴⁰⁸ AASB Standard: AASB 16 Leases, February 2016, https://www.aasb.gov.au/admin/file/content105/c9/AASB16_02-16.pdf.

⁴⁰⁹ **[Redacted - confidential]**

⁴¹⁰ **[Redacted - confidential]**.

[Redacted - confidential]⁴¹¹ to determine the present value of leases, and **[Redacted - confidential]**.⁴¹² Further, it is evident from its business case that **[Redacted - confidential]**.⁴¹³

- B19. The effect of the AASB 16 accounting adjustments are evident in Coles' business case for the Proposed Supermarket. If the AASB 16 accounting adjustments are not made, then the Proposed Supermarket's pre-AASB 16 RoC is **[Redacted - confidential]**% in FY31 (this is referred to as 'ROC' in Coles' Business Case).⁴¹⁴ If AASB 16 adjustments are made and future lease expenses are converted to capital, the Proposed Supermarket's post-AASB 16 RoC is **[Redacted - confidential]**% in FY31 (this is referred to as 'LA ROC' in Coles' Business Case).⁴¹⁵
- B20. The further information provided by Coles on its RoC are illustrated in Table 16, calculated on a pre-AASB 16 basis, and Table 17, calculated on a post-AASB 16 basis.⁴¹⁶ There is an outstanding question as to whether the data provided by Coles is correctly labelled RoC and LA RoC, or whether the RoC data should be labelled LARoC and vice versa. The data below is as it was presented to the ACCC.

Table 16 Coles' cost of capital and pre-AASB16 return on capital

Year	Cost of capital	Coles Group ⁴¹⁷	Stores in Australia	Stores in WA	Kalgoorlie Store
2022		[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
2025	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]

Source: Publicly available information and information provided by Coles.⁴¹⁸

⁴¹¹ **[Redacted - confidential]**.

⁴¹² Coles Group, [2025 Annual Report](#), pp. 98-99.

⁴¹³ **[Redacted - confidential]**.

⁴¹⁴ **[Redacted - confidential]**.

⁴¹⁵ **[Redacted - confidential]**.

⁴¹⁶ **[Redacted - confidential]**.

⁴¹⁷ Coles Group Ltd includes profit from subsidiaries unrelated to its supermarkets business, including liquor, meal delivery services and other business. Coles Group, [2025 Annual Report](#), p. 166.

⁴¹⁸ **[Redacted - confidential]; [Redacted - confidential]**.

Table 17 Coles' cost of capital and post-AASB16 return on capital

Year	Cost of capital	Coles Group ⁴¹⁹	Stores in Australia	Stores in WA	Kalgoorlie Store
2016			[Redacted - confidential]	[Redacted - confidential]	
2019	[Redacted - confidential]		[Redacted - confidential]	[Redacted - confidential]	
2022		[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]
2025	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]	[Redacted - confidential]

Source: Publicly available information and information provided by Coles.⁴²⁰

⁴¹⁹ Coles Group Ltd includes profit from subsidiaries unrelated to its supermarkets business, including liquor, meal delivery services and other business. Coles Group, [2025 Annual Report](#), p. 166.

⁴²⁰ [Redacted - confidential]; [Redacted - confidential].

Attachment C: Coles' Business Case

- C1. Before making the Phase 1 determination and preparing the NOCC, Coles provided the ACCC with a version of Coles' business case that contains a summary of the financial results underlying the Acquisition (the **First Business Case**).⁴²¹
- C2. After the Phase 1 Determination and days before the ACCC published the NOCC, Coles provided another version of the business case comprising three spreadsheets with substantially more data and underlying calculations (together, the **Second Business Case**).
- C3. The Second Business Case which was provided too late to be considered for the NOCC.⁴²² The Second Business Case was considerably more detailed and sophisticated than the First Business Case provided to the ACCC.
- C4. Much of the analysis undertaken by Coles' experts, Mr Davis and Mr Samuel, is dedicated to reviewing the ACCC's analysis of the First Business Case, but having regard to the Second Business Case. There is much in those expert reports that the ACCC agrees with, including that there is a proportion of employee costs and store costs that are variable.
- C5. The ACCC considers that there are some calculation issues with the Second Business Case.
- Latent Revenue: As discussed above, the ACCC considers that what is labelled 'Latent' revenue is not new sales revenue but sales for which a source competitor had not been identified. An implication of this is that the 'Latent' sales, \$[Redacted - confidential]m, to the extent that they are achieved may be an additional sales revenue impact to other stores, including Coles Kalgoorlie, such that the Second Business Case underestimates the Coles-on-Coles impact and overstates profit. The ACCC considers an appropriate year 1 impact on Coles Kalgoorlie revenue is [Redacted - confidential]% rather than [Redacted - confidential]%.⁴²³
 - Year 2 and year 3 ramp up: The ACCC notes Mr Samuel's and Mr Davis' explanations of the way Coles has modelled a ramp-up in its sales revenue from year 1 to years 2 and 3.⁴²⁴ However, that ramp up in sales revenue for the Proposed Supermarket is not accounted for in the Coles-on-Coles impact.
- The implication of this is that the Second Business Case understates the Coles-on-Coles impact and overstates profit. Adjusting for this would indicate year 2 and year 3 impacts on Coles Kalgoorlie revenue are [Redacted - confidential]% (rather than [Redacted - confidential]%) and [Redacted - confidential]% (rather than [Redacted - confidential]%), respectively.⁴²⁴

⁴²¹ [Redacted - confidential].

⁴²² [Redacted - confidential].

⁴²³ [Redacted - confidential]; [Redacted - confidential].

⁴²⁴ [Redacted - confidential].

- Payback period: The formula in the Second Business Case does not discount cashflows from year to year. This can be remedied by calculating the discount rate as $1/(1+WACC)^t$.⁴²⁵
 - Incorrect year: The CAR model (business case) takes as an input for [REDACTED - CONFIDENTIAL] revenue the [REDACTED - CONFIDENTIAL] revenue from the MA model.⁴²⁶ Coles uses a [Redacted - confidential]% rate of inflation for [REDACTED - CONFIDENTIAL], such that revenue estimates in each year of the business case are inflated [Redacted - confidential]%.⁴²⁷
- C6. The ACCC's view is that the Second Business Case, subject to the few calculation issues above, is a sophisticated and thorough model that forecasts the future financial outcomes for the proposed Acquisition.
- C7. It is based on inputs and the judgements of multiple people involved in its development that the ACCC has not been able to thoroughly examine. While it is not clear what all those judgements were or the commercial objectives underlying them, the ACCC accepts the Second Business Case as Coles' best attempt at forecasting the relevant financial performance of the Proposed Supermarket.
- C8. While the ACCC and other parties making submissions found alternative inputs that could have been used in the Second Business Case, the ACCC does not consider it necessary or ultimately useful to generate modifications of the Second Business Case to adopt alternative inputs, other than to address specific calculation issues where necessary. Making such changes could easily create inconsistencies in the inputs – both in terms of the values of the inputs and in terms of the judgements of the multiple people inputting into its development.
- C9. The alternative inputs that could be changed include the following (which is unlikely to be an exhaustive list). However, doing so will not necessarily result in a more accurate or better forecast of the future for the Acquisition, given the complicated nature of the model and its heavy dependence on the judgement of individuals:
- Using an average of [Redacted - confidential].⁴²⁸
 - Reducing [Redacted - confidential]. Mr Samuel included [Redacted - confidential].⁴²⁹ Based on Mr Samuel's Letter of instructions, this appears to be based on Coles' analysis of [Redacted - confidential].⁴³⁰

The ACCC was told by Coles that [Redacted - confidential].⁴³¹ Coles appeared to be [Redacted - confidential].⁴³²
 - Using [Redacted - confidential].
 - Adopting [Redacted - confidential].⁴³³

⁴²⁵ [Redacted - confidential]; See also Brealey, R. A., Myers, S. C. and Allen, F. (2008), Principles of Corporate Finance, McGraw Hill.

⁴²⁶ [Redacted - confidential].

⁴²⁷ [Redacted - confidential].

⁴²⁸ [Redacted - confidential].

⁴²⁹ [Redacted - confidential].

⁴³⁰ [Redacted - confidential].

⁴³¹ [Redacted - confidential].

⁴³² [Redacted - confidential].

⁴³³ [Redacted - confidential].

- Adding [Redacted - confidential].⁴³⁴
 - Adopting the Reserve Bank of Australia target long term inflation rate as the growth rate for Coles' revenue, rather than [Redacted - confidential].⁴³⁵
 - Adopting different [Redacted - confidential].⁴³⁶
 - Adding [Redacted - confidential].⁴³⁷
- C10. Although not determinative, the ACCC considers that, with the above calculation issues (set out in paragraph C5) addressed and applying no further changes to reflect different judgements on the inputs, a central case of the model is that the acquisition would be [Redacted - confidential] over 10 years:
- [Redacted - confidential];
- C11. [Redacted - confidential];[Redacted - confidential];[Redacted - confidential];[Redacted - confidential].[Redacted - confidential]The ACCC accepts that the central case of the model, without those adjustments, does support Coles' conclusion that the acquisition would be [Redacted - confidential] over [Redacted - confidential].
- C12. But it is notable that, even in this alternative, the Acquisition would be unprofitable using Coles benchmarks if the Proposed Supermarket attracted [Redacted - confidential] revenue than forecast (for instance, [Redacted - confidential]). This highlights [Redacted - confidential]. It is an open question as to what Coles response would be in that situation, that is whether to accept that loss making position, or to seek to win additional sales to get the Proposed Supermarket to a profitable or breakeven position, with the implication that this would enhance the prospect that the Relevant Independent store would be unviable.
- C13. The ACCC notes that whether the Acquisition is unprofitable or profitable is not necessary for the ACCC to find that the Acquisition would have the effect or would be likely to have the effect of substantially lessening competition. Notwithstanding this, Coles' Second Business Case is a relevant consideration for the ACCC's assessment, as identified throughout this document.

⁴³⁴ [Redacted - confidential].

⁴³⁵ [Redacted - confidential].

⁴³⁶ [Redacted - confidential].

⁴³⁷ [Redacted - confidential].